Report No: ICR00226

IMPLEMENTATION COMPLETION AND RESULTS REPORT
(IDA Credit 5972-BD)

ON A

CREDIT

IN THE AMOUNT OF SDR 47.9 MILLION
(US$ 65 MILLION EQUIVALENT)

TO THE
People's Republic of Bangladesh

FOR
Bangladesh Insurance Sector Development Project
April 21, 2025

Finance, Competitiveness and Innovation
South Asia

CURRENCY EQUIVALENTS

(Exchange Rate Effective – January 31, 2017)

Currency Unit =	Bangladesh Taka (BDT), US Dollars
US$ 1=	BDT 79.0
SDR 1 =	US$ 1.35699373

FISCAL YEAR
January 1 - December 31

Regional Vice President:	Martin Raiser
Country Director:	Gayle Martin
Regional Director:	Mathew A. Verghis
Practice Manager:	Gabi George Afram
Task Team Leader (s):	Wenye Dong and Angela Prigozhina
ICR Main Contributor:	Amila Indeewari Dahanayake

ABBREVIATIONS AND ACRONYMS

BI	Business Intelligence
BIA	Bangladesh Insurance Academy
BISDP	Bangladesh Insurance Development Project
CES	Citizen Engagement Survey
CG	Corporate Governance
CMM	Claims Management Methodology
CPF	Country Partnership Framework
CPFL	Consumer Protection and Financial Literacy
CRM	Customer Relationship Management
DMS	Data Management System
DPP	Development Project Plan
ECNEC	Executive Committee of the National Economic Council
ERD	Economic Relations Division
ERP	Enterprise Resource Planning
FID	Financial Institutions Division
FYP	Five Year Plan
GDP	Gross Domestic Product
GNI	Gross National Income
GoB	Government of Bangladesh
HLO	High Level Objective
HRMIS	Human Resources Management Information System
IAIS	International Association of Insurance Supervisors
ICPs	Insurance Core Principles
ICPG	Insurance Consumer Protection Guidelines
ICR	Implementation Completion Results
ICT	Information Communication Technology
IDA	International Development Association
IDRA	Insurance Development and Regulatory Authority
IT	Information Technology
IPF	Investment Policy Financing
IRI	Intermediate Results Indicator
ISR	Implementation Status and Results
JBC	Jiban Bima Corporation
IDRA	Insurance Development and Regulatory Authority
LIC	Low Income Country
LMIC	Lower Middle-Income Country
LMS	Learning Management System
LTPP	Long Term Perspective Plan
MOF	Ministry of Finance
MIS	Management Information System
M&E	Monitoring and Evaluation
MTPL	Motor Third Party Liability

MTR	Mid-Term Review
NSIS	National Social Insurance Scheme
PD	Project Director
PDO	Project Development Objective
PDOI	Project Development Indicator
PIU	Project Implementation Unit
PSC	Project Steering Committee
RBCC	Risk-Based Capital Calculation
RBS	Risk-Based Supervision
Reg-Tech	Regulatory Technology
RF	Result's Framework
SBC	Shadharan Bima Corporation
SCD	Systematic Country Diagnostic
SOCs	State-Owned Corporations
Sup-Tech	Supervisory Technology
TA	Technical Assistance
ToC	Theory of Change
TTL	Task Team Leader
UAT	User Acceptance Testing
WB	World Bank
WBG	World Bank Group

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DATA SHEET

BASIC DATA

Product Information

Operation ID P156823	Operation Name Bangladesh Insurance Sector Development Project
Product Investment Project Financing (IPF)	Operation Short Name Insurance Sector Development Project
Operation Status Closed	Approval Fiscal Year 2017
Original EA Category Not Required (C) (Approval package - 20 Mar 2017)	Current EA Category Not Required (C) (Restructuring Data Sheet - 06 Feb 2024)

CLIENTS

Borrower/Recipient People's Republic of Bangladesh	Implementing Agency Insurance Development and Regulatory Authority (IDRA)

DEVELOPMENT OBJECTIVE

Original Development Objective (Approved as part of Approval Package on 20-Mar-2017)

The project development objective is to strengthen the institutional capacity of the regulator and state-owned insurance corporations and increase the coverage of insurance in Bangladesh.

FINANCING

Financing Source	Original Amount (US$)	Revised Amount (US$)	Actual Disbursed (US$)
World Bank Financing	65,000,000.00	62,148,334.00	56,494,429.67

IDA-59720	65,000,000.00	62,148,334.00	56,494,429.67
Non-World Bank Financing	15,000,000.00	0.00	0.00
Borrower/Recipient	15,000,000.00	0.00	0.00
Total	**80,000,000.00**	**62,148,334.00**	**56,494,429.67**

RESTRUCTURING AND/OR ADDITIONAL FINANCING

Date(s)	Type	Amount Disbursed (US$M)	Key Revisions
18-Aug-2022	Portal	14.28	• Results • Loan Closing Date Extension • Implementation Schedule
06-Feb-2024	Portal	47.01	• Results • Loan Closing Date Extension

KEY DATES

Key Events	Planned Date	Actual Date
Concept Review	22-Sep-2015	11-Feb-2016
Decision Review	21-Oct-2016	18-Oct-2016
Authorize Negotiations	12-Feb-2017	09-May-2016
Approval	20-Mar-2017	20-Mar-2017
Signing	14-Sep-2017	10-Apr-2018
Effectiveness	14-Sep-2017	08-Jul-2018
ICR/NCO	31-Mar-2025	--
Restructuring Sequence.01	Not Applicable	18-Aug-2022
Restructuring Sequence.02	Not Applicable	06-Feb-2024
Mid-Term Review No. 01	12-Oct-2020	12-Oct-2020
Operation Closing/Cancellation	30-Aug-2024	30-Aug-2024

RATINGS SUMMARY

Outcome	Bank Performance	M&E Quality
Moderately Satisfactory	Moderately Satisfactory	Substantial

ISR RATINGS

No.	Date ISR Archived	DO Rating	IP Rating	Actual Disbursements (US$M)
01	15-Jun-2017	Satisfactory	Satisfactory	0.00
02	22-Dec-2017	Satisfactory	Moderately Satisfactory	0.00
03	10-Apr-2018	Satisfactory	Moderately Satisfactory	0.00
04	11-Oct-2018	Satisfactory	Moderately Satisfactory	0.00
05	14-Apr-2019	Moderately Satisfactory	Moderately Satisfactory	4.77
06	15-Oct-2019	Moderately Satisfactory	Moderately Satisfactory	4.77
07	06-Feb-2020	Moderately Satisfactory	Moderately Satisfactory	4.77
08	04-Aug-2020	Moderately Satisfactory	Moderately Unsatisfactory	6.01
09	24-Feb-2021	Moderately Satisfactory	Moderately Unsatisfactory	7.41
10	25-Dec-2021	Moderately Satisfactory	Moderately Satisfactory	9.70
11	15-Dec-2022	Moderately Satisfactory	Moderately Satisfactory	26.12
12	21-Jul-2023	Moderately Satisfactory	Moderately Satisfactory	41.30
13	08-Jan-2024	Moderately Satisfactory	Moderately Satisfactory	46.84

SECTORS AND THEMES

Sectors

Major Sector	Sector	%	Adaptation Co-benefits (%)	Mitigation Co-benefits (%)
FY17 - Financial Sector	FY17 - Insurance and Pension	72	0	0
	FY17 - Public Administration - Financial Sector	3	0	0

FY17 - Information and Communications Technologies	FY17 - ICT Services	25	0	0

Themes

Major Theme	Theme (Level 2)	Theme (Level 3)	%
FY17 - Finance	FY17 - Financial Infrastructure and Access	FY17 - Financial inclusion	100
	FY17 - Financial Stability	FY17 - Financial Sector oversight and policy/banking regulation & restructuring	100
FY17 - Private Sector Development	FY17 - ICT	FY17 - ICT Solutions	100

ADM STAFF

Role	At Approval	At ICR
Practice Manager	Niraj Verma	Gabi George Afram
Regional Director	Zoubida Kherous	Matthew A. Verghis
Global Director	Ceyla Pazarbasioglu-Dutz	Mona E. Haddad
Practice Group Vice President	Jan Walliser	Pablo Saavedra
Country Director	Qimiao Fan	Abdoulaye Seck
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ADM Responsible Team Leader	Korotoumou Outtara	Wenye Dong
Co-Team Leader(s)	Serap Gonulal	Angela Prigozhina
ICR Main Contributor	Amila Indeewari Dahanayake	

I. PROJECT CONTEXT AND DEVELOPMENT OBJECTIVES

A. CONTEXT AT APPRAISAL

1. **<u>Country Context:</u> At the time of project appraisal in 2017, Bangladesh had achieved significant progress in both economic growth and poverty reduction.** The country experienced an impressive average annual growth rate of 6.2 percent between 2006 and 2015. Concurrently, poverty rates were on a consistent decline. According to the international poverty line of $1.90 per person per day, statistics for 2017 indicated that 13.8 percent of the population were living below the extreme poverty threshold. Rapid growth propelled Bangladesh from Low Income Country (LIC) to Lower Middle-Income Country (LMIC) status in Fiscal Year (FY) 2014 with a Gross National Income (GNI) of US$1,080 crossed the middle-income country threshold of US$1,046.[1] The country's prudent management of fiscal and monetary policy contributed towards its macroeconomic stability. Over the past decade, inflation had also been contained well below double digit level during most of the period while the average inflation rate was 5.4 percent in 2017[2].

2. **<u>Sector Context:</u> While Bangladesh has made significant strides in developing and deepening its financial sector, numerous challenges persisted, necessitating further efforts.** The country's financial sector, in particular banking, had notably expanded over the past decade, and financial access for households increased significantly throughout development of mobile and digital financial services, in particular payments, the vulnerabilities of the financial sector, including state-owned banks and state-owned insurance companies increased significantly in the back of growing non-performing loans, poor governance, political intervention and rent seeking, high concentration and insider lending. Moreover, the diversification of financial sector and products, sound

[1] Bangladesh Country Partnership Framework (CPF), March 8, 2016. Report No. 103723-BD

[2] Bangladesh Development Update 2018

regulation, supervision and consumer protection for improved market confidence and further financial inclusion remained a concern. The insurance sector in particular, remained small in size and outreach, despite its significant relevance and need in the backdrop of growing economic and climate risks. The penetration ratio measured as the ratio of gross written premium to Gross Domestic Product (GDP) was only 0.9 percent in 2014 (0.7 percent for life insurance and 0.2 percent for non-life insurance). Bangladesh is frequently recognized as one of the most vulnerable nations globally with respect to natural disasters,[3] which significantly impact government finances and result in substantial income losses for rural households. The need for insurance, coupled with limited access to such services, affected various sectors, including farmers who encountered production risks and the general population who faced escalating costs for quality healthcare.

3. **Bangladesh's financial sector includes insurance sector which accounts for only 3 percent of total assets.** The Insurance Development and Regulatory Authority (IDRA) oversee the regulation and supervision of insurance companies. There were 77 life and non-life insurance companies operating in Bangladesh[4] of which two are State-Owned Corporations (SOCs) – Shadharan Bima Corporation (SBC) and Jiban Bima Corporation (JBC).[5]

4. **According to the Government of Bangladesh's Seventh Five-Year Plan (2016-2020), the insurance market in Bangladesh remained largely untapped across both life and non-life segments.** Only four out of every 1,000 people had life insurance, indicating a significant gap in coverage. Additionally, property risk underinsurance was a major concern. In 2014, Bangladesh had approximately 17.1 million policyholders, a figure that lagged behind other South Asian nations. In 2007, the insurance premium per capita in Bangladesh was just under US$3 (0.51 percent of GDP), which increased to US$7.4 per capita by 2014. However, this still falls short when compared to Sri Lanka (1.15 percent of GDP), India (3.46 percent of GDP), and Malaysia (4.51 percent of GDP).

5. **Although a wide range of insurance products were available, they often suffered from poor quality in terms of price and coverage.** This was primarily due to a shortage of professional skills and a lack of supportive regulations. Additionally, there was a deficiency in market data, including updated mortality and morbidity tables[6]. Property insurance was the fastest-growing segment for non-life insurance companies, accounted for 38 percent of the total non-life premium and covering areas such as construction, fire, natural hazards, index-based flood insurance, marine, and transit. However, even compulsory Motor Third Party Liability (MTPL) insurance had only achieved a 70 percent penetration rate due to a lack of awareness and an inefficient distribution network. Group Private Medical Insurance (PMI) was gaining popularity over individual insurance, but fraudulent claims remained an issue. In some segments, such as crop and property insurance, companies struggled to meet high demand due to a lack of technical skills. The life insurance sector was also expanding but faced a high lapse ratio, with 60-70 percent of policies lapsing within the first year, one of the highest rates globally. This is largely due to inadequate supervision and a lack of public awareness, as policies were often sold to individuals with limited incomes who later found they cannot afford the payments.

6. <u>**Institutional Context:**</u> **IDRA's limited regulatory and supervisory capacity had hindered its ability to effectively perform its responsibilities, negatively impacting the development of Bangladesh's insurance sector.** Despite the large number of insurers operating in the market, insurance penetration remained low. Insufficient entry barriers, including low capital requirements, have resulted in market fragmentation, with many weak and under-resourced companies being licensed. IDRA itself faced challenges due to a lack of qualified staff and limited capacity, with only 64 employees in service—well below the 157 positions approved by the Ministry of Finance (MoF). Moreover, the labor market in Bangladesh does not readily supply the necessary expertise. The absence

[3] World Risk Report 2014, United Nations University identifies Bangladesh as one of the vulnerable countries in the world ranking 168th out of 172 countries.

[4] As of December 31, 2015

[5] The majority of companies were private domestic and 30 provide life insurance and 45 offer general (non-life) insurance.

[6] Bangladesh was using mortality table with data from 1949 and 1952

of qualified personnel, coupled with inadequate enforcement of key regulations such as minimum capital requirements and solvency margins, had fostered poor market practices and eroded public trust in the sector. Of the 50 regulations required under the Insurance Act of 2010, only 11 had been enacted. Additionally, IDRA's regulatory processes and IT infrastructure required modernization, including automation of data collection, to strengthen its oversight capabilities. Public trust in the sector remained low, with limited consumer protection regulations and a lack of awareness. The Consumer Rights Protection Act of 2009 does not cover financial services, and insurance companies invested minimally in marketing, while IDRA's efforts in consumer education had been insufficient. This distrust was further evidenced by high lapse ratios in life insurance.

7. **Weak sector infrastructure, particularly the low capacity of the Bangladesh Insurance Academy (BIA), had significantly hindered the development of the insurance sector.** The lack of high-quality training institutions had led to a shortage of qualified professionals, including underwriters, actuaries, and insurance marketers, affecting regulators, insurance companies—both private and state-owned—and consumers. BIA, established in 1973 as the national training provider for the insurance industry, could play a crucial role in addressing these skill gaps and enhancing public trust in the sector. However, BIA's ability to meet the demand for skilled professionals, such as actuaries and claims adjusters, was limited. While it offered basic and field-based training in life and non-life insurance, its facilities were inadequate, and it suffered from a shortage of qualified, full-time faculty members.

8. **There was a strong and compelling case for enhancing the capacity of Bangladesh's two state-owned insurance corporations.** The two state-owned insurance corporations in Bangladesh, JBC and SBC, provided life and general non-life insurance, respectively. As the second and seventh largest insurers in the country at that time, they were systemically important to the sector. Both JBC and SBC have an extensive presence in semi-urban and rural areas through a wide network of branches, positioning them to address the market gap created by private companies predominantly focusing on urban centers. However, despite their potential, these corporations were underperforming and reaching only a small portion of the population. This underachievement stemmed from factors such as inadequate technical capacity, limited use of Information Technology (IT), weak corporate governance, and a lack of sufficient distribution channels. To fulfill their mandate and improve their outreach, it was crucial for JBC and SBC to modernize their operations, enhance operational efficiency, adopt a more commercially driven approach, and strengthen corporate governance.

9. <u>Rationale for World Bank Support:</u> **The need to strengthen institutional capacity of IDRA, JBC, SBC and BIA and modernize its operations through upgrading its information systems to create a well-functioning insurance sector led to the design of the BISDP.** The project aimed to address regulatory reforms, institutional gaps, market data infrastructure and capacity needs to support the sustainable growth of the insurance market. It sought to protect the interests of policyholders and beneficiaries through effective regulation and supervision, promote higher standards of integrity, technical competence, and business capability to mitigate the shortage of insurance professionals, and improve operational efficiency and corporate governance. BISDP stood as a flagship initiative, marking the World Bank Group's (WBG) inaugural intervention in Bangladesh's insurance sector. Additionally, it represented the country's foremost and most significant endeavor in advancing the insurance sector.

10. **Addressing the critical issues and challenges obstructing the insurance sector's development was a key element of the Government of Bangladesh's (GoB) Seventh Five-Year Economic Development Plan (2016-2020).** This was with the view of enhancing and expanding the availability of risk mitigation products within the insurance sector to contribute to a diversified financial sector. The project was in alignment with the Systematic Country Diagnostic (SCD) of and the Country Partnership Framework (CPF)[7] of the World Bank. The SCD highlighted financial stability

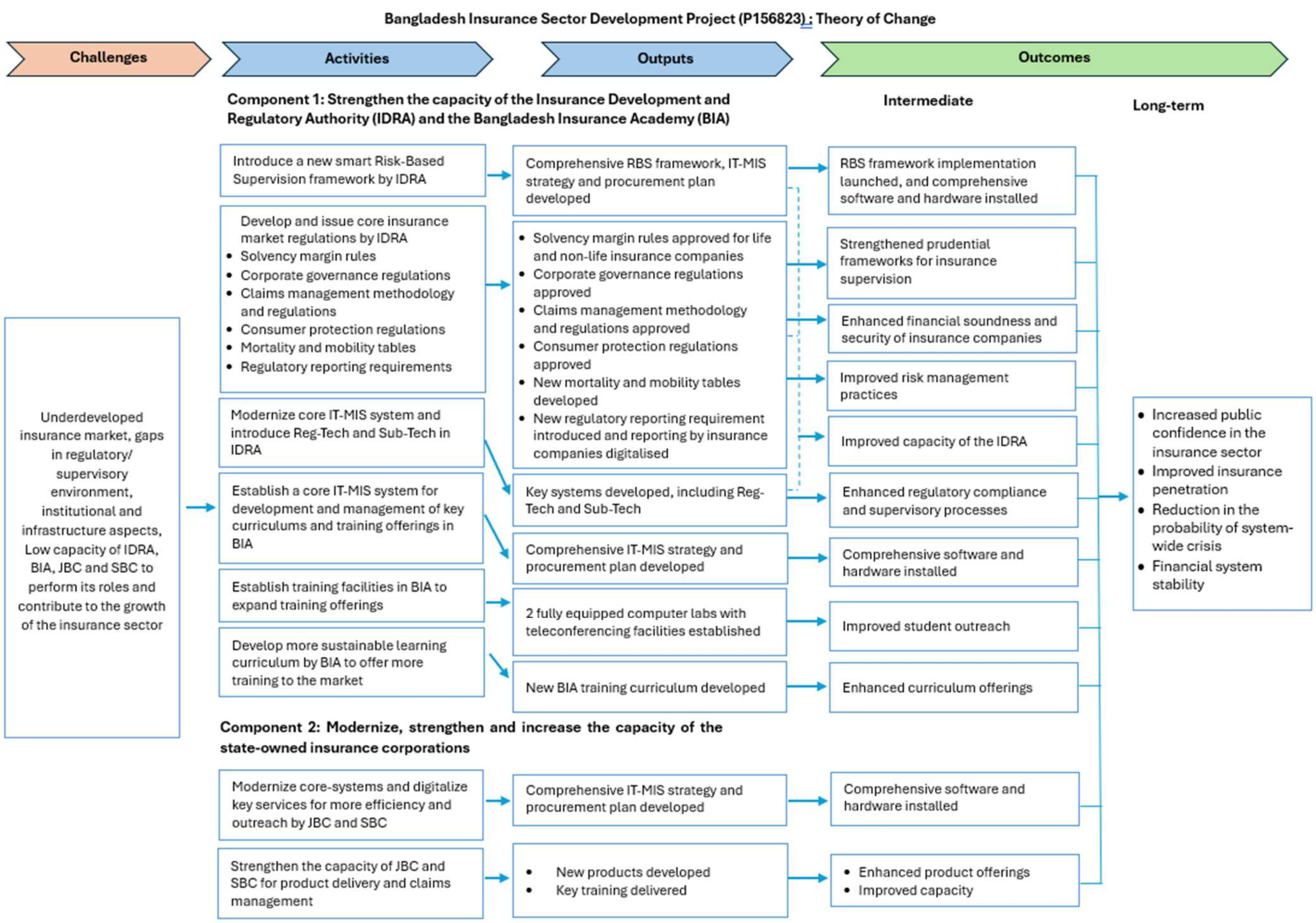
[7] The World Bank Group Country Partnership Strategy FY16–20; discussed at the Board on April 5, 2016 (No. 103723-BD); *Extended to FY21 by the PLR*

and enhanced financial intermediation as essential priorities for supporting a growing economy and maintaining macroeconomic stability. The CPF emphasized that underdeveloped insurance markets restrict sources of long-term financing, thereby hindering the financing of the country's deteriorating infrastructure and job creation. Overall, the project contributes to building a stronger financial sector.

Theory of Change (Results Chain)

11. **The project primarily focused on strengthening the institutional capacity and modernizing IT infrastructure of the project's main beneficiaries to develop the overall insurance sector and increase the insurance coverage in Bangladesh.** This project's main beneficiaries include the main implementing agency and the regulator – IDRA, the insurance academy - BIA and the two state-owned insurance corporations – JBC and SBC.

12. Theory of Change (TOC) was not mandatory at the time of project appraisal. Therefore, as part of the Implementation Completion and Results (ICR) process, a TOC was reconstructed based on key project activities and expected results at appraisal, as given below:



Project Development Objectives (PDOs)

The project development objective (PDO) is to strengthen the institutional capacity of the regulator and state-owned insurance corporations and increase the coverage of insurance in Bangladesh.

Key Expected Outcomes and Outcome Indicators

13. At appraisal, the project aimed to achieve two distinct PDO objectives and the key project outcomes were measured by two PDO indicators:

Objective #1: To strengthen the institutional capacity of the regulator (IDRA) and the two state-owned insurance corporations (JBC and SBC). This objective's success was to be measured by one PDO indicator (PDOI):

- PDO indicator #1: Adoption and implementation by IDRA of smart risk-based supervision

Objective #2: To increase the coverage of insurance in the country. This objective's success was to be measured by one PDO indicator:

PDO indicator #2: Number of insurance policy holders (life insurance and non-life insurance)

Components

14. **As per the project appraisal document the project financed three components for a total of US$65 million IDA financing.** At completion, the project had disbursed a total of US$56.50million. The project had three components as following:

15. **Component 1: Improving the Capacity of the Insurance Development and Regulatory Authority and the Bangladesh Insurance Academy (Actual: USD 30.8 million / At Appraisal USD 30 million).** The component aimed at strengthening the capacity of IDRA to regulate and supervise the insurance as well as the reinsurance markets with the support of BIA. Enhancing the capacity of BIA was meant to address the skills constraints and data needs for the market as well as IDRA to set up sound legal, regulatory and supervisory frameworks to improve supervision combined with strong IT/MIS infrastructure which are essential for ensuring a secured and resilient insurance sector.

16. **Sub-component 1a. Strengthening the Capacity of the Regulator IDRA.** This sub-component aimed to finance the following activities: (a) Design and implement a governance and accountability framework of IDRA in relation to the Government, including drafting internal procedures and charters in line with its new organogram, establishing an effective autonomous authority, and strengthening internal control functions. (b) Upgrade IDRA's supervisory function with provision of goods and equipment, as well as technical assistance (TA).

17. **Sub-component 1b. Strengthening the Capacity of BIA. This sub-component aims at helping BIA become a reliable resource in Bangladesh for training and research and achieve national recognition.** The project aimed at providing technical advisory support as well as goods and equipment to BIA to undertake the following activities: a) Design and implement a corporate governance, management and staff structure that is consistent with its new organizational structure. (b) Improve data infrastructure and advance knowledge in the sector. (c) Develop appropriate course curriculums and manuals; modernize BIA training facilities and address its ICT needs to design and deliver the training courses, and education in the form of diplomas, certification courses and degrees (d) Build capacity of BIA staff, faculty, management and board members.

18. **Component 2: Modernization, Strengthening and Increasing the Efficiency of the State- Owned Insurance Corporations (JBC and SBC) improve their systems and business practices (Actual: USD 46.77 million / At**

Appraisal USD 45 million). This component was envisaged to help JBC and SBC run their businesses on a commercially sound basis to deliver on their mandate and strategies to increase insurance coverage and thus contribute better to the development of the insurance sector in Bangladesh.

19. **Component 3: Project Implementation, Management, and Monitoring (Actual: USD 2.46 million / At Appraisal USD 5 million).** This component aimed at helping develop a strong monitoring and evaluation (M&E) system to be used by the Project Implementation Unit (PIU) at IDRA and other stakeholders to assess progress on implementation.

B. SIGNIFICANT CHANGES DURING IMPLEMENTATION (IF APPLICABLE)

20. **The project underwent two Level II restructurings during implementation.** The first restructuring was approved on 07 August 2022 and the second was approved on 06 February 2024. The details of the restructurings are provided below.

21. **The first restructuring of the project entailed an 18-month extension of the closing date, extending it from August 31, 2022, to February 28, 2024.** This extension was initially requested by the Government of Bangladesh (GoB) in March 2021 and subsequently processed in August 2022. The rationale for this extension was justified and critically important for following reasons: (i) to enable project implementation within the originally planned timeline of 5 years, that was infringed by the 16-months delay in the project effectiveness and launch; (ii) COVID-19 disruptions further delayed implementation of signed contracts and slowed down procurement, as many results indicators were directly linked to the implementation of consultancy services and IT/MIS investments, hence, additional time was needed for implementation. (iii) COVID-19 accentuated the need for more robust reforms in support of insurance market development which BISDP was designed to support through the updated procurement and institutional development plans; (iv) per experience in Bangladesh and other countries, minimum of 24 months was necessary for IDRA and authorities of Bangladesh to develop and implement core regulatory, supervisory and legislative changes; (v) a minimum of 18-24 months was necessary to develop, install, test and roll out complex IT/MIS solutions across all beneficiary agencies and their respective central offices and branches; and (vi) a minimum 24 months was needed to strengthen IDRA's regulatory and supervisory capacity. This restructuring also entailed modifications to the results framework with specific details outlined in table 1 below.

22. **The second restructuring of the project involved extension of the project closing date by 6 months till August 30, 2024.** In October 2023, the GoB made a request to the WB to: (a) extend the project closing date by 12 months from 28 February 2024 to 28 February 2025 without changes to the PDO or the Results Framework (RF) and (b) provide additional financing of US$35 million to ensure full enforcement and implementation of the supervisory reforms including the next phase of reforms in line with the new draft Insurance Market Strategy for 2024 – 2029, and operationalize and use of new IT/MIS systems by the project beneficiaries. The project had only disbursed 67.3 percent of project funds by October 2023. Although the government's request was for 12 months, the WB agreed to a 6-month extension till August 30, 2024.

Revised PDOs and Outcome Targets

23. **No changes were made to the PDO as part of the two project restructurings.** The first restructuring that was processed in August 2022 introduced minor changes to the results framework including (i) clarification of wording for one PDO indicator[8] and three intermediate results indicators[9] as well as removal of one intermediate results

[8] The project has 2 PDO indicators

[9] The project originally had 19 Intermediate Results Indicators (IRI), and 1 IRI was dropped during the first project restructuring

indicator (as it had been already implemented and no longer needed to be supported by the project) and (ii) changes to the end targets to align with the envisaged market developments and project objectives. Following the first level II restructuring taking into account the project implementation delays including effects of the COVID-19 pandemic, below table 1 summarizes the changes made to the PDO indicators, Intermediate Results Indicators and changes introduced to the intermediate targets and end targets.

Table 1. Summary of the Changes to the PDO indicators, Intermediate Results Indicators and Intermediate Targets

Indicators (At Appraisal)	Targets			Revised Indicators (At Restructuring)
	Year	At Appraisal (20 March 2017)	At Restructuring (August 07, 2022)	
PDO Indicator				
1. Adoption and implementation by IDRA of Smart Risk-Based Supervision (percentage of insurance market supervised by smart RBS) (Text)	Yr 1	RBS being set up	No	1.IDRA adopted Smart Risk-Based Regulatory approach, supervisory techniques along with IT/MIS solutions (smart RBS).
	Yr 2	RBS being set up	No	
	Yr 3	RBS adopted	No	
	Yr 4	40	No	
	Yr 5	70	RBS regulation, supervisory methodology, techniques along with IT/MIS solutions developed by IDRA	
	Yr 6	N/A	RBS framework adopted by IDRA	
	End	N/A	RBS framework adopted by IDRA	
2.Number of insurance policy holders (life and non-life) (number)	Yr 1	18,000,000	18,000,000	2.Number of insurance policy holders (life and non-life)
	Yr 2	18,500,000	18,500,000	
	Yr 3	19,000,000	19,000,000	
	Yr 4	20,000,000	20,000,000	
	Yr 5	22,000,000	22,000,000	
	Yr 6	N/A	23,000,000	
	End	N/A	24,000,000	
Intermediate Results Indicators				
Component I: Improving the Capacity of IDRA and BIA				
3.Insurance companies follow off-site monitoring templates issued by IDRA (percentage).	Yr 1	N/A	No	3.Insurance companies follow off-site monitoring templates issued by IDRA for smart-risk based supervision (text)
	Yr 2	Issued	No	
	Yr 3	30	No	
	Yr 4	45	IDRA issued new off-site monitoring templates	
	Yr 5	70	top 6 insurance companies (top 3	

			life and top 3 non-life) comply with the new offsite reporting requirements	
	Yr 6	N/A	20 percent life and non-life insurance companies comply with the new offsite reporting requirements	
	End	N/A	40 percent life and non-life insurance companies comply with the new offsite reporting requirements	
4.Onsite inspection of insurance companies annually performed by IDRA (number)	Yr 1	10	10	4.Onsite inspection of insurance companies annually performed by IDRA (number)
	Yr 2	10	10	
	Yr 3	10	10	
	Yr 4	10	10	
	Yr 5	30	30	
	Yr 6	N/A	35	
	End	N/A	40	
5.Solvency margin rule for insurance companies issued by IDRA and implemented (Yes/No)	Yr 1	No	No	5.Solvency margin rule for insurance companies issued by IDRA and implemented (Text)
	Yr 2	Issued	Not Issued	
	Yr 3	Issued	Not Issued	
	Yr 4	Implemented	Not Issued	
	Yr 5	Implemented	Issued	
	Yr 6	N/A	Implemented	
	End	N/A	Implemented	
6.Corporate governance regulations issued by IDRA are followed by insurance companies (Percentage of market share)	Yr 1	0	0	6.Corporate governance regulations issued by IDRA are followed by insurance companies (Percentage of market share)
	Yr 2	5	0	
	Yr 3	10	0	
	Yr 4	25	10	
	Yr 5	60	60	
	Yr 6	N/A	65	
	End	N/A	70	
7.Insurance companies follow Claims Management Methodology and regulation issued by IDRA (Percentage of companies)	Yr 1	0	0	7.Insurance companies follow Claims Management Methodology and regulation issued by IDRA (Percentage of companies)
	Yr 2	5	0	
	Yr 3	15	0	
	Yr 4	25	10	
	Yr 5	70	50	
	Yr 6	N/A	55	
	End	N/A	60	
8.Insurance companies issue key facts statements to policy holders following new Consumer Protection	Yr 1	0	0	8.Insurance companies issue key facts statements to policy holders following new Consumer Protection regulations issued by IDRA (Percentage of companies)
	Yr 2	5	0	
	Yr 3	10	0	
	Yr 4	25	10	
	Yr 5	80	50	

regulations issued by IDRA (Percentage of companies)	Yr 6	N/A	55	
	End	N/A	60	
9.Mortality and Morbidity tables produced (Yes/No)	Yr 1	No	No	9.Mortality and Morbidity tables produced (Yes/No)
	Yr 2	No	No	
	Yr 3	Yes	Yes	
	Yr 4	Yes	Yes	
	Yr 5	Yes	Yes	
	Yr 6	N/A	Yes	
	End	N/A	Yes	
10.National Social Insurance Scheme (NSIS) Study conducted (Yes/No)	Yr 1	Yes	N/A	Dropped Indicator
	Yr 2	Yes	N/A	
	Yr 3	Yes	N/A	
	Yr 4	Yes	N/A	
	Yr 5	Yes	N/A	
	Yr 6	N/A	N/A	
	End	N/A	N/A	
11.Number of people trained who received ABIA Diplomas and Certificates (Number)	Yr 1	100	100	10.Number of people trained who received ABIA Diplomas and Certificates (Number)
	Yr 2	200	150	
	Yr 3	300	200	
	Yr 4	400	250	
	Yr 5	600	350	
	Yr 6	N/A	400	
	End	N/A	450	
Component 2: Modernization, Strengthening and Increasing the Efficiency of the State-Owned Insurance Corporation				
12.Life Insurance policies that lapse after one year at JBC (Percentage)	Yr 1	50	50	11.Life Insurance policies that lapse after one year at JBC (Percentage)
	Yr 2	45	50	
	Yr 3	40	50	
	Yr 4	35	45	
	Yr 5	30	45	
	Yr 6	N/A	44	
	End	N/A	43	
13.Total number of policy holders at JBC & SBC (Number)	Yr 1	475,000	475,000	12.Total number of policy holders at JBC & SBC (Number)
	Yr 2	490,000	490,000	
	Yr 3	500,000	500,000	
	Yr 4	520,000	520,000	
	Yr 5	550,000	550,000	
	Yr 6	N/A	575,000	
	End	N/A	600,000	
14.Net Claims Ratio at JBC (Percentage)	Yr 1	70	70	13.Net Claims Ratio at JBC (Percentage)
	Yr 2	70	65	
	Yr 3	75	65	
	Yr 4	75	65	
	Yr 5	80	63	
	Yr 6	N/A	65	
	End	N/A	67	
15.Net Claims Ratio at SBC (Percentage)	Yr 1	35	35	14.Net Claims Ratio at SBC (Percentage)
	Yr 2	35	40	
	Yr 3	45	44	

	Yr 4	60	50	
	Yr 5	60	50	
	Yr 6	N/A	52	
	End	N/A	55	
16. Premium growth rates at JBC (Percentage)	Yr 1	8	8	15.Premium growth rates at JBC (Percentage)
	Yr 3	12	10	
	Yr 4	13	12	
	Yr 5	15	15	
	Yr 6	N/A	16	
	End	N/A	17	
17.Premium growth rates at SBC (Percentage)	Yr 1	8	8	16.Premium growth rates at SBC (Percentage)
	Yr 2	9	9	
	Yr 3	10	10	
	Yr 4	12	12	
	Yr 5	15	15	
	Yr 6	N/A	16	
	End	N/A	17	
18.Solvency margin rule issued by IDRA are implemented by JBC and SBC (Yes/No)	Yr 1	No	No	17.Solvency margin rule issued by IDRA are implemented by JBC and SBC (Yes/No)
	Yr 2	Issued	No	
	Yr 3	Issued	No	
	Yr 4	Implemented	Issued	
	Yr 5	Implemented	Implemented	
	Yr 6	N/A	Implemented	
	End	N/A	Implemented	
Component 3: Project Implementation, Management and Monitoring				
19.Direct project beneficiaries (Number)	Yr 1	40,000	0.00	18.Direct project beneficiaries (net increase in policy holders of JBC and SBC who pay a premium for an insurance policy – number)
	Yr 2	50,000	0.00	
	Yr 3	100,000	0.00	
	Yr 4	200,000	50,000	
	Yr 5	500,000	100,000	
	Yr 6	N/A	120,000	
	End	N/A	130,000	
20.Female project beneficiaries (Percentage)	Yr 1	20,000	0.00	19.Female beneficiaries (net increase yoy in female policy holders of JBC and SBC who pay a premium for an insurance policy – percentage)
	Yr 2	25,000	0.00	
	Yr 3	50,000	0.00	
	Yr 4	100,000	10,000	
	Yr 5	150,000	25,000	
	Yr 6	N/A	28,000	
	End	N/A	30,000	
21.Direct project beneficiaries that feel that project investments reflected their needs (Percentage)	Yr 1	30	0	20.Direct project beneficiaries who feel that project investments reflected their needs (Percentage)
	Yr 2	40	0	
	Yr 3	50	0	
	Yr 4	70	50	
	Yr 5	80	50	
	Yr 6	N/A	80	
	End	N/A	80	

Revised Components

24. **There were no changes to the project's components.**

Rationale for Changes and Their Implication on the Original Theory of Change

25. **The extension of project closing dates were to meet PDO indicators, implement regulatory reforms, allow achievements of outcome targets and completion of project activities.** They were also to overcome issues including late start of project effectiveness and project implementation due to delays in institutional arrangements, disruptions caused by COVID-19 pandemic which led to delays in procurement and disbursements. To this end the Mid-Term Review (MTR) conducted in October 2020 recommended to extend the project timeline and changes to the results framework to recalibrate and align with market realities.

26. **Both project restructurings had no implications for the project's broader objectives. A Theory of Change was not prepared at Appraisal.** During implementation the project remained ambitious and required qualitative reforms in the regulatory, supervisory, and institutional framework of the insurance market operations with the strengthened capacity of IDRA, JBC, SBC and BIA. The PDO remained unaltered throughout the project lifecycle.

OUTCOME

A. RELEVANCE OF PDO

Assessment of Relevance of PDOs and Rating

27. **The project's development objectives were aimed to bolster IDRA by establishing robust legal, regulatory, and supervisory frameworks, coupled with strong IT/MIS solutions, to ensure a secure and resilient insurance sector.** It also sought to enhance the BIA's capacity to address skill constraints, positioning it as a nationally recognized resource for training and research. Furthermore, the projective focused on modernizing, strengthening, and increasing the efficiency of the two state-owned insurance corporations, JBC and SBC, by improving their systems and business practices.

28. **At the closure, the project's objectives remain relevant, aligning closely with the WBGs CPF for Bangladesh for FY2023-FY2027.** The CPF emphasizes the importance of strengthening institutions and markets to enhance job creation and service delivery. It outlines fostering the use of digital technology to enhance efficiency and transparency in public sector delivering services to businesses and citizens, in line with the Government's Smart Bangladesh Vision 2041. It underscores that the growth of Bangladesh's financial sector has been predominantly driven by the banking sector, with a long-term capital market yet to be developed. Insurance markets play a critical role in supporting and sustaining growth via two transmission mechanisms. First, it provides risk mitigation by helping households and firms protect their assets. Second, the insurance sector supports economic growth through the deployment of long-term capital in the real economy and contributes to capital market development.

29. **The WBG's CPF is firmly aligned with the GoB's 2021-41 Long Term Perspective Plan (LTPP) to transform Bangladesh into a high-income country by 2041 and Eighth Five-Year Plan (8^{th} FYP) for 2021-2025 which supports the country's goal to graduate from LDC to Upper-Middle Income Country status by 2031.** The

priorities outlined in the BISDP continues to be substantial and significantly advances several objectives of the CPF. The project's focus is relevant under the Higher-Level Objective (HLO) A of the CPF: "Increased Private Sector Jobs", which lists the BISDP as a key contributing project. Objective 2 of the CPF: "Strengthening financial intermediation to support long-term growth and resilience" which underscores the need to foster the development of institutions in the insurance and pension sector to support long-term financing. Objective 3 of the CPF "Improved effectiveness of public institutions to deliver better services to citizens and businesses" and Objective 6 "Strengthened digital connectivity for inclusive growth" are also aligned with the BISDP's PDO.

30. **The PDO is relevant to GoB's development priorities outlined in its 8th FYP 2021-2025 directly supporting the goal of developing the insurance industry in Bangladesh.** Under the medium term macroeconomic framework, the 8th FYP specifically highlights the strategies for the development of the insurance sector including: (a) measures will be taken to strengthen capacity of IDRA and other insurance institutions, (b) all insurance companies will open actuarial department in their companies and (c) IDRA to develop a framework to store all the policy related data in a digital policy repository which will help to analyze insurance related data.

31. **The relevance of the PDO is rated High.** The project has remained highly relevant to both WBG's CPF and GoB's priorities as outlined in the 8th FYP at the time of the closure. The approach to financial sector development and mobilization of long-term finance for development in the current CPF orient towards the development of domestic long-term capital market through reforms that realign market incentives, foster the development of institutions in the insurance and pension sector and reduce policy distortions in key reforms for markets, which crowd out opportunities for long-term capital market development. Therefore, the project is highly relevant in the development context of Bangladesh and remains well aligned with national priorities.

B. ACHIEVEMENT OF PDOs (EFFICACY)

Assessment of Achievement of Each Objective/Outcome

32. **The Project has three main objectives:** (i) strengthening the institutional capacity of the regulator, (ii) strengthening the institutional capacity of the two state-owned insurance corporations, and (iii) increase the coverage of insurance in Bangladesh. Within the framework of these objectives, strengthening the capacity of the Bangladesh Insurance Academy is identified as a subcomponent under Component 1 and is integrated into the results framework. Therefore, this will also be used to support the causal relationship between this project's interventions and achieved outcomes.

33. **Two PDO indicators and eighteen Intermediate Results Indicators (IRIs) were designed to measure the achievement of the PDO objectives.** The project's achievement towards development outcomes will be discussed in this section.

Objective #1: Strengthening the Institutional Capacity of the Regulator

34. Objective#1 aimed to (i) provide IDRA with modern IT/MIS infrastructure to enhance IDRA's supervisory and enforcement capacity including provision of equipment and software that will be necessary to capture insurance regulatory and supervisory data for IDRA and strengthen and upgrade the insurance market regulatory and supervisory framework of IDRA (ii) design and implement an accountability and governance framework for IDRA (iii) capacity building and training of IDRA staff and management. In addition, further enhance BIA capacity and curriculum for provisioning of training services for insurance market.

Modernizing the Insurance Infrastructure

35. **Automation and the modernization of IT/MIS for insurance regulators and companies significantly enhance operational efficiency and reduce costs by streamlining processes and minimizing expenses.** Advanced data analysis facilitates superior risk management, resulting in more precise pricing and regulatory compliance. Enhanced regulatory oversight, achieved through "RegTech," allows for more effective monitoring and evaluation of insurance operations. Customer experience is markedly improved through automation, which enables seamless and efficient interactions. The inclusivity of insurance products is heightened, making them more accessible and affordable, particularly for emerging markets. Furthermore, modern IT/MIS systems bolster operational resilience, which is essential during unforeseen market disruptions. Collectively, these technological upgrades foster a more efficient, inclusive, and resilient insurance sector[10].

36. **At the outset, the World Bank team undertook a formidable challenge in addressing the lack of IT reforms within Bangladesh's insurance sector.** Prior to this initiative, the sector had not experienced any significant advancements in information technology. This project was instrumental in equipping all beneficiaries with essential IT infrastructure and other critical technology. These provisions were vital for modernizing IT systems and infrastructure, ensuring the uninterrupted availability of systems and real-time data. The staff of the beneficiary organizations initially lacked training in IT skills, making it a substantial undertaking to enable them to effectively utilize the newly provided equipment and technology. The entire project, with an envelope of USD 65 million, was primarily focused on investments in IT infrastructure while majority of the results indicators were linked to the IT investments. Despite the project becoming effective in July 2018, less than 20% of the project funds had been disbursed by July 2022. This underscored the immense challenge the World Bank team faced in altering the trajectory of Bangladesh's insurance sector. Given these complexities, the project ultimately succeeded in disbursing USD 56 million towards IT/MIS investments by its closure. This achievement highlights the project's significant impact on modernizing the insurance sector in Bangladesh, laying a robust foundation for future advancements and stability.

37. **Modernizing insurance infrastructure under the project is at the heart of transforming IDRA into an effective insurance regulator and supervisor.** Installation of new IT/MIS system forms the basis for advancing IDRA's regulatory and supervisory reforms, introducing new regulatory reporting requirements for insurance firms and implementing smart-RBS and supervision as envisaged by the project's results framework. Covid-19 delayed the process of preparing and launching major procurement packages for the purchase of equipment and software solutions for all the four project beneficiaries and many results indicators were directly linked to the implementation of these major investments. In October 2020, the project engaged the IT consulting firm *Technohaven* to assist all project beneficiaries to make assessments and diagnostic for IT/MIS infrastructure aligned with international best practices. Technohaven provided comprehensive support to the four project beneficiaries to: (a) conduct needs assessments, (b) clarify IT/MIS requirements and strategies, (c) prepare specifications for substantial IT/MIS bidding packages, (d) ensure the delivery of hardware and software met the required specifications, and (e) oversee quality control and assist in final approval of deliveries. This process enabled to streamline the procurement process, regroup and consolidate key procurement activities to achieve cost and process efficiencies.

38. **Bangladesh Insurance Ecosystem Modernization program mainly consist of six core elements which covers the regulator, the two state-owned insurance companies and the insurance academy** as follows: (a) Data Management System (DMS) including digitalization of documents of all four beneficiaries; (b) Enterprise Applications including Core-Insurance, Customer Relationship Management (CRM) and Enterprise Resource

[10] "How Technology Can make Insurance More Inclusive", FCI GP, Fintech Note No.2, World Bank Group, 2018

Planning (ERP); (c) Business Intelligence (BI) consisting of decision support system, data warehouse and external data system; (d) Common applications including portal, email application and grievance and complaint redressal system; (e) learning management system at the insurance academy and (f) Reg-Tech and Sup-Tech. The emphasis was on adoption of industry standard core Insurance and ERP systems to transform the existing redundant and manual processes to a fully automated and efficient environment especially in IDRA, SBC and JBC. Bangladesh Insurance sector has been able to establish a strong technological foundation by acquiring and deploying industry standard applications, like Core Insurance System, ERP, Document Management System, BI, RegTech and SupTech, and a robust cybersecurity framework. The project also supported the development and publication of a new IDRA website. Although the design was completed well in advance of the project's closure and substance has been updated, the full publication of the website was delayed due to technical issues related to internal government clearances. The TTL of the project is actively following up to ensure its full implementation.

39. **The project ensures system reliability and success by extending warranties and securing long-term vendor partnerships.** It's important to note that major vendor risk has been mitigated by ensuring that warranty period for all software packages extend well beyond the successful deployment of systems and go-live. This approach guarantees that any issues arising post-deployment will be addressed promptly by the vendors, thereby ensuring the reliability and stability of the systems. In addition, 3-year operations and maintenance agreements have been signed with each vendor to ensure system continuity and vendor accountability. These agreements stipulate that vendors will provide ongoing support, updates, and necessary maintenance for the software packages over an extended period. This not only ensures that the systems remain up-to-date with the latest technological advancements but also that any potential issues are resolved swiftly, minimizing downtime and operational disruptions. Furthermore, these long-term agreements foster a strong partnership between the project stakeholders and the vendors, promoting a collaborative approach to system management and enhancement. Furthermore, the PIU has confirmed that the GoB has approved a budget of USD 15 million to cover payments for any ongoing contracts following the project's closure.

40. **In the post-implementation phase, the regulatory landscape has been enhanced through the integration of real-time data analytics, providing insights about insurers for the regulator.** The RegTech system has the ability to scrutinize compliance reports, which automatically generate queries in instances of non-compliance. The process for licensee-related applications has been streamlined and processed electronically, from the front desk to the backend. Licensees have the ability to submit compliance obligations online, and any special audits or additional information requests by the IDRA is managed electronically. Furthermore, the deployment of big data analytics and business intelligence tools facilitate the preemptive detection of fraud and irregularities. By the project's closure, IDRA have the capability to generate compliance reports without the need for on-site supervision audits.

41. The reforms supported by the project, encompassing both IT/MIS enhancements and institutional development and regulatory reform, are extensive, complex, interdependent, and transformational for the Bangladesh insurance market. Although this aspect of the project encountered some challenges during its initial phase, it progressed rapidly due to robust follow-up and support from the World Bank task team, as well as timely interventions from the counterparts. The capacity constraints faced by the implementing agencies in preparing specifications for complex IT systems were largely mitigated by engaging Technohaven and other external consultants, despite delays in their hiring. Nevertheless, the complexity of tasks and the limited absorption capacity of the beneficiaries led to delays and disruptions. Persistent procurement delays, compounded by the COVID-19 pandemic and civil unrest, adversely impacted supply chains and increased the costs of IT systems. Additionally, the foreign exchange crisis caused delays in the payment of several contracts, further hindering contract implementation and affecting the major infrastructure upgrades. These factors placed significant time and workload pressures on vendors and beneficiaries to complete the tasks before the project closure. Per other country experiences, a minimum of 18-24 months was necessary to develop, install, test and roll out complex IT/MIS solutions across all beneficiary agencies and their respective central offices and branches. At the time of closure, the Disaster Recovery sites have been established at all the beneficiary organizations including deployment of the required hardware, they have been commissioned after receiving power connection for the substation by the local power company. In addition, the cybersecurity strategy and implementation plan for SBC, JBC, IDRA and BIA have been completed.

42. **The project significantly transformed Bangladesh's insurance sector through strategic investments in IT/MIS infrastructure and upgrades.** By automating and modernizing IT/MIS systems for insurance regulators and companies, the project enhanced operational efficiency and reduced costs through streamlined processes and minimized expenses. Advanced data analysis facilitated superior risk management, resulting in more precise pricing and regulatory compliance. Enhanced regulatory oversight, achieved through "RegTech," allowed for more effective monitoring and evaluation of insurance operations. Customer experience was markedly improved through automation, enabling seamless and efficient interactions. Furthermore, modern IT/MIS systems bolstered operational resilience, essential during unforeseen market disruptions. Collectively, these technological upgrades fostered a more efficient, inclusive, and resilient insurance sector, laying a robust foundation for future advancements and stability.

Upgrading the Regulatory and Supervisory Framework

43. **Strengthening regulatory and supervisory capacity is essential for safeguarding the stability and development of the insurance sector, protecting policyholders, and promoting financial inclusion and resilience.** Enhanced regulatory frameworks and supervisory practices ensure that insurance companies operate within a robust and compliant environment, fostering trust among consumers and businesses. Improved supervision capabilities, including the adoption of innovative technologies like SupTech, enable regulators to achieve greater efficiency and address emerging challenges[11]. A risk-based approach to supervision allows for the allocation of resources to insurers with the greatest risk, ensuring that supervisory efforts are focused on key priorities.

44. **Through the reforms implemented under Component 1, which are aligned with the results framework, the project has facilitated significant regulatory and supervisory enhancements introduced by IDRA. These include:**

a) ***Introduction of Smart-Risk Based Supervision Framework –*** Smart RBS is an approach to supervision that uses in a proportionate manner both off-site monitoring and on-site inspections to examine the business model of each insurer, evaluate its condition, risk profile and conduct, the quality and effectiveness of its corporate governance and its compliance with relevant legislation and supervisory requirements. In April 2024, IDRA approved and introduced a Smart-RBS framework by publishing in the IDRA website, which is aligned with one of the two PDO indicators of this project. This PDO indicator was successfully achieved by the project's closure. Concurrently, IDRA has formulated a comprehensive roadmap and action plan for the implementation of the smart RBS over the next 5-7 years, culminating in a full transition. This plan was published on IDRA’s website in September 2024. Insurance companies and stakeholders are informed of the process and timelines for RBS implementation since several of the action items will require industry

[11] In the case of this project, it will require more time to reflect the impact of these changes in the actual financial statement of IDRA.

input and participation along with gradual capital increase in line with Risk-Based Capital Calculation (RBCC) in the next 5 years (2024-2028).

The progress on the two related IRIs has been mixed. Firstly, the indicator requiring insurance companies to adhere to off-site monitoring templates issued by IDRA for Smart-RBS has not been met by project's closure. Although these templates were prepared by IDRA in September 2024, it requires more time to assess the compliance by insurance companies. Secondly, the annual on-site inspection of insurance companies by IDRA has been partially achieved. While the on-site inspection manuals were approved in April 2024 and the new RBS-based on-site inspection template was published in IDRA's website in September 2024, the number of inspections conducted fell short of the project's end target since there was insufficient time to achieve the end target before project's closure. On-site inspections by the regulator are crucial to examine the business model of each insurer; evaluate its condition, risk profile, and conduct; and evaluate the quality and effectiveness of its corporate governance and its compliance with relevant legislation and supervisory requirements.

b) ***Introduction of Mortality and Morbidity Tables -*** Prior to the project, Bangladesh did not have updated mortality and morbidity tables as they were using data from 1949 and 1952, which partly contributed to improper premium calculation and adversely affected even those companies that have good credentials. In January 2024, IDRA issued a circular to the country's life insurance companies requesting to use the "Bangladesh Assured Lives Mortality Table (2015-2018)" and the "Bangladesh Morbidity Table (2015-2018)" for the purpose of formulation of insurance schemes, valuation and calculation of reserves, and other purposes related to insurance starting 01 January 2024. This reform was supported by BISDP.

c) ***Introduction of Solvency Margin Rules for Insurance Companies -*** The solvency margin is the excess of an insurance company's assets over its liabilities and other commitments, serving as a buffer against unexpected events. It must always exceed the regulatory minimum solvency margin, which is the mandated minimum amount that insurance companies must maintain. The solvency margin rules for both life and non-life sectors were approved and Gazetted by IDRA in September 2024. This demonstrates a steadfast commitment by IDRA to continuing the reform initiatives supported by the project beyond its closure. This reform is linked to a IRI and has been partially met as the indicator required implementation to be considered as achieved. Furthermore, with a gradual capital increase aligned with RBCC over the next five years, and an additional two years (2029-2030) will be required for the implementation of a streamlined Solvency II framework.

d) ***Introduction of Corporate Governance Regulations –*** Good Corporate Governance (CG) has become crucial in the insurance sector to ensure accountability to shareholders, robust management oversight, and fair treatment of all stakeholders, especially policyholders. It safeguards company assets and fosters business development through enhanced credibility, disclosure, and transparency, which are essential in an industry built on trust and future promises. The IRI requiring Corporate Governance Guidelines to be issued by IDRA and followed by insurance companies has been partially achieved since IDRA issued the CG guidelines in October 2023 and full adoption of these guidelines by the insurance companies have not been assessed by IDRA before project's closure as it requires more time and human resources to assess its full compliance.

e) Introduction of Claims Management Methodology (CMM) and Regulations – Insurance claim management is crucial for protecting policyholders and is a key competitive factor for insurance companies, enhancing their public image. The process involves multiple stages, from filing a claim to determining its merit and the payout amount. Quick and satisfactory claim settlements are expected by customers, and reducing settlement time can improve customer satisfaction, decrease complaints, and provide a competitive edge. The IRI requiring CMM and regulations to be issued by IDRA and followed by insurance companies has been partially achieved since IDRA issued the CMM and regulations in April 2024 and adoption by the insurance companies are yet to be assessed by IDRA as it will require sufficient time for insurance companies to fully adopt.

f) ***Introduction of New Consumer Protection Regulations -*** Consumer protection regulations in the insurance sector are designed to ensure clear rules and adequate institutional arrangements for the protection of insurance consumers. IDRA issued Insurance Consumer Protection Guidelines (ICPG) with Key Fact Statement Templates (which sets out the key terms and conditions of insurance coverage in nontechnical terms) in April and August 2024, respectively. The relevant IRI linked to this reform has been partially achieved as insurance companies have not confirmed issuance of key fact statements for various insurance products to policyholders.

g) ***Introduction of New Insurance Market Regulatory Reporting Requirements –*** IDRA introduced new reporting requirements aimed at enhancing the assessment of insurance companies' compliance with regulatory standards and improving supervisory processes. These measures are designed to ensure that insurance companies adhere to regulatory requirements more effectively. IDRA has introduced new regulatory technology (Reg-Tech) which leverages data analytics to identify, assess, and mitigate risks, simplifies and automates the generation of regulatory reports, and ensures timely and accurate submissions. Additionally, Reg-Tech plays a crucial role in detecting and preventing fraudulent activities. Furthermore, the introduction of supervisory technology (Sup-Tech) enables IDRA to collect and analyze data to identify trends, risks, and compliance issues within insurance companies. This technology allows for real-time monitoring and facilitates proactive measures to mitigate potential issues. Sup-Tech also streamlines the regulatory reporting process by automating data submission and analysis. The integration of both Reg-Tech and Sup-Tech is supporting to transform the insurance industry by making regulatory compliance and supervision more efficient, accurate, and cost-effective.

h) ***Introduction of Other Important Reforms to Address Insurance Sector Issues:*** the project has enabled to increase IDRA’s technical capacity to develop new insurance products. In 2023, IDRA introduced new regulation for bancassurance, and focused on development of microinsurance and takaful. IDRA has also drafted a new National Insurance Policy for 2024-2029 which is awaiting Government approval. Further amendments to the IDRA Act and Insurance Act are being prepared by IDRA to help align the market requirements with international standards and support integration of insurance and financial sector into global financial markets and increase access to investments to support Bangladesh’s economic growth.

45. **At the outset of this project, a thorough examination of Bangladesh’s financial system, particularly focusing on the Central Bank, the Capital Market Regulator, and the Insurance Regulator, revealed significant capacity constraints within these institutions.** The development of RBS was notably underdeveloped, with fundamental regulations and requirements in both the capital and insurance markets being at a rudimentary stage. The status of these institutions was primarily focused on assembling core competencies. It is important to acknowledge that despite the ambitious goals held by these institutions at the time, the prevailing political and governance environment in the country did not support the implementation of such extensive reforms. One of the primary activities of this project was to build awareness among policymakers about the critical role of the insurance sector in poverty reduction, given the severe impact of poverty in Bangladesh.

46. **An illustrative example of the challenges posed by the lack of political will can be seen in the case of the Solvency Margin Rules.** Despite IDRA successfully publishing these rules in September 2024, the journey to this key milestone was fraught with delays. The rules were initially prepared by IDRA in 2022, but it took an arduous two years to secure the necessary government approval to finalize and publish them. This prolonged waiting

period underscores the significant hurdles that IDRA had to overcome, highlighting the broader issues of political inertia and the complexities of governance that can impede regulatory progress. In this challenging context, the achievements of IDRA are particularly noteworthy. Despite being a small institution with minimal political influence, IDRA successfully managed to approve several crucial regulations. This accomplishment is a testament to their dedication and the significant strides made in advancing the regulatory framework for the insurance sector in Bangladesh.

47. **The structural reforms identified for implementation through the project has been carefully selected based on the specific conditions and developmental stage of the Bangladesh insurance market at that time.** It is crucial to evaluate the country's level of development to understand what can realistically be achieved, considering the supervisory capacity, technical competence, political will and overall developmental context. Bangladesh was at a preliminary level of development compared to many other economies in the region and beyond. Therefore, it is essential to appreciate the feasible achievements within the country, given its unique circumstances.

48. **The quality of reform is paramount, but it must be assessed in light of the country's current stage of development. For example, the solvency reform adopted a two-phased approach.** The first phase was intentionally elementary, designed to align with the country's context and the market's status at that time. This initial phase laid the groundwork for more advanced reforms. The second phase of the solvency reform adopts a risk-based approach, aligning more closely with international best practices. This phased approach ensures that reforms are both practical and effective, given the country's capacity to absorb and implement changes. In conclusion, different countries require tailored approaches to reform, depending on their level of absorption capacity and development. By considering these factors, reforms can be designed to be both high-quality and contextually appropriate, ensuring successful implementation and sustainable progress.

49. **The BISDP has successfully established the foundational reforms essential for not only supervising and regulating but also fostering the growth and development of the insurance sector in Bangladesh.** The introduction of these reforms represents a significant milestone in the journey towards a more robust and well-regulated insurance industry. The full implementation of these reforms will require additional time and effort. The transition from the adoption phase to the implementation phase necessitates a period of adjustment, during which the IDRA will need to build its capacity and enhance its operational capabilities. IDRA is committed to ensuring the full implementation of these reforms, as evidenced by its efforts to publish all regulatory regulations and guidelines, comprehensive roadmap and action plan for the implementation of smart RBS over the next 5-7 years and putting in place, before the program closure. Additionally, IDRA has developed a comprehensive roadmap and action plan for the implementation of smart RBS over the next 5-7 years and has put in place mechanisms to transition to the Solvency II framework before the program closure. These initiatives demonstrate IDRA's dedication to effectively integrating the reforms into the existing framework and ensuring their successful and complete implementation in the coming years.

Strengthening the Accountability and Governance Framework

50. **The project was designed to establish and implement an accountability and governance framework for the IDRA, aligning with international best practices for regulators.** The organizational structure and staffing plan, approved in 2019[12] and supported by the project, envisioned a total of 155 staff members. This included the existing 64 personnel, as well as new IT professionals and regulatory and supervisory experts, thereby creating a more comprehensive structure and governance framework with clearly defined responsibilities. Following the

[12] Approved by the Government in October 2019 in line with WB recommendations under BISDP

2019 staffing plan, IDRA's recruitment rules were approved in April 2021, leading to the recruitment of IT, regulatory, and supervisory professionals between 2021 and 2022[13] to facilitate the implementation of IDRA's mandate. Through the project WB further recommended IDRA to consider modifications to the organizational chart and augmenting staffing, particularly for offsite and onsite supervisors. Additionally, it was advised to reform the human resources and financial frameworks to establish an attractive compensation structure, define skills requirements, and enhance career opportunities for staff. Furthermore, it was suggested to transform the career development context to create appealing job roles and to develop and launch an in-house training program for IDRA staff.

51. **By early 2023, following two years of dedicated effort, IDRA embarked on the development of a new organizational structure and staffing plan, which was subsequently submitted for government approval.** This initiative is a testament to the significant growth in both the capacity and ambition of the regulator. The proactive steps taken by IDRA to introduce a new organigram, staffing plan, and budget—following the approval of the initial framework in 2019—highlight their commitment to continuous improvement and were not part of the original project design. Encouraged by recommendations from the World Bank, IDRA chose to exceed expectations and expand their capabilities beyond the initial scope. This decision underscores their forward-thinking approach and dedication to enhancing their regulatory functions. It is important to recognize that IDRA should not be penalized for not approving the second organigram, as the initial one was deemed sufficient. The World Bank recommended this additional step as a strategic investment in the future, aiming to further strengthen IDRA's operational effectiveness and long-term sustainability.

Strengthening the Institutional Capacity of the Regulator

52. **To support IDRA and other project beneficiaries' skills development, a comprehensive training program was developed by the PIU with inputs from the project beneficiaries and the World Bank.** A multifaceted program was designed to support in three core areas in parallel including (i) professional regulatory/supervisory training for IDRA staff (internally with invited training experts and externally through study tours to other regulatory agencies, international conferences and seminars) to enhance skills in RBS (off-site supervision and on-site supervision), financial analysis, corporate governance, consumer protection and solvency; (ii) training for IDRA, BIA, JBC, SBC and other stakeholders to develop new insurance products including but not limited to takaful, bancassurance, micro-insurance, and (iii) computer literacy, cyber security and IT/MIS operational capacity building for the project beneficiaries to ensure their staff is equipped and trained to use new IT/MIS applications and business processes set-up by the project. All four project beneficiaries received training in basic computer skills and basic concepts and principals in insurance in 2019 as foundational capacity building efforts. In addition, the project supported to develop a comprehensive training curriculum on RBS for IDRA staff and other stakeholders with necessary skills and mandate. There is strong commitment from the GoB and insurance stakeholders to establish actuarial departments for every insurer[14], advance actuarial training and increase the quality of actuarial services in Bangladesh which is linked to the commitment made in 8th FYP of the GoB. The project supported to develop a comprehensive training curriculum for training of actuarial specialists in order to build the actuarial profession, raise the overall standard of the industry and improve risk management practices. The introduction of actuarial science course and qualifications would be particularly valuable in ensuring that insurance pricing, reserving and risk management are conducted in a professional and a transparent manner.

[13] There were 97 staff (all categories) in IDRA by October 2023 and 32 percent of new staff recruited from 2020 to 2022 has left IDRA with vacancies now open
[14] IDRA has made it mandatory

53. **The project supported important capacity building and training for IDRA staff to regulate and supervise the insurance sector.** The World Bank provided technical assistance in number of topics related to RBS off-site supervision and on-site inspection, solvency margin and transition to RBCC, transition towards higher compliance with Insurance Core Principles (ICP) of the International Association of Insurance Supervisors (IAIS). The WB recommended the authorities to facilitate IDRA's participation in the meetings of IAIS and other relevant regulatory bodies to support IDRA knowledge transfer and professional development. However, due to the travel ban during Covid-19 pandemic in 2020-early 2022 and prohibition to civil servants to travel for training in 2022-2024 due to foreign exchange deficit, the BISDP project beneficiaries could receive primarily online training. Nonetheless, despite these circumstances outside the project control, IDRA, JBC, SBC and FID staff received special foreign training in Frankfurt on insurance regulation and supervision and study visits on risk-based supervision. Going forward, IDRA has prepared a comprehensive in-house training program for the next 6 years up to 2030 to help IDRA's transition to RBS, with different levels of complexity and modules, including introductory training for all IDRA new staff, as well as more advanced specialty training for onsite and offsite supervisors. Capacity building and continuity of the reforms remain a major priority. Therefore, for higher impact and more effective implementation of all the recommendations and investments (including IT/MIS solutions) under the project the authorities and the beneficiaries will need to continue intense knowledge transfer and supporting reforms beyond the BISDP project's closure.

Strengthening the Institutional Capacity of Bangladesh Insurance Academy

54. **As part of Component 1 which is linked to Objective#1** aimed to (i) design and implement a governance, management and staffing structure for BIA, (ii) support to implement a modern IT system for BIA to deliver training and for student online enrollment for courses (iii) capacity building and training of BIA staff and management. The achievement is measured by one intermediate results indicator "Number of people trained who received ABIA Diplomas and Certificates" (see details in table 2).

55. **The project supported to intensify BIA's role and proactivity in offering new knowledge to the market and IDRA.** Under the project BIA received significant support with development of modern training facilities (rooms and equipment), curriculum, and additional IT/MIS for its future operations and management, including a modern Learning Management System (LMS). The project supported upgrade of BIA facilities with several rooms fully equipped and available for in class and virtual learning and the back-up facilities. BIA had received support under the project (hardware and software, other equipment including a server room) to expand its curriculum and training offering online and in-situ in the renovated and equipped training rooms. The software for LMS has been installed with equipment and the vendor was in the process of addressing the feedback given by BIA based on UAT, at the project closure. The BIA has enhanced its curriculum by introducing new training programs while continuing to offer insurance diplomas. Despite delays caused by COVID-19 lockdowns, which affected the training and issuance of BIA diplomas (a key result indicator under the BISDP), the project concluded with 453 diploma holders. This number exceeds the project's end target of 450 as outlined in the results framework.

56. **The project accentuates the need for BIA to expand its faculty staff and engage into international partnership programs to expand BIA training offerings and issue reputable certification in partnership with leading foreign insurance training institutes and academic institutions.** The project recommended IDRA to increase qualification requirements for insurance companies to boost skills in the market and enhance quality of products. This potentially can increase demand for BIA services. The project emphasized BIA to have adequate capacity and a proper business plan as well as the need to graduate from the state support and mobilize additional resources via better marketing and more quality trainings. Per recommendations of the World Bank, BIA has developed a simplified 3-year business plan with actions aimed at implementing the recommendations issued under the project and ensuring that BIA substantially increases the scope and coverage of its training, has sufficient income

support for future upgrades and offer relevant knowledge for the market. The project also supported BIA to revisit its organizational structure and propose changes to be approved by the Governing Board. In response to IDRA requirement for life insurance companies to have Actuarial Departments and trained actuaries, BIA aimed to launch an Actuarial training course which was developed under the support of the project. This is the first important step and needs to be supported by developing a more advanced actuarial training and certification program in partnership with international actuarial certification body.

57. The accomplishment of Objective #1 was evaluated using one Project Development Objective Indicator (PDOI) and eight Intermediate Results Indicators (IRIs). Upon the project's conclusion, this PDOI was successfully met, and two IRIs were fully achieved. Additionally, five IRIs were partially realized, while one IRI remained unachieved (refer to Table 2 for further details).

Table 2. PDO Objectives, PDO indicators and Intermediate Results Indicators – Status of Achievement

PDOI and IRIs	Baseline at Appraisal	End Target	Actual	Status
1.PDO1 – 1: IDRA adopted Smart Risk-Based Regulatory approach, supervisory techniques along with IT/MIS solutions (smart RBS) [Text]	No	Yes	Yes - Compliant	Achieved IDRA introduced RBS Framework in April 2024
2.IRI - Insurance companies follow off-site monitoring templates issued by IDRA for Smart-RBS (Percentage)	N/A	40 percent life and non-life insurance companies comply with the new offsite reporting requirements	No – Non Compliant	Not Achieved Off-site monitoring templates have been prepared by IDRA in September 2024
3.IRI – On-site inspection of insurance companies annually performed by IDRA (Number)	0	40	30 Partially Compliant	Partially Achieved On-site inspection manuals approved in April 2024 and new RBS-based onsite inspection template published in September 2024
4.IRI - Solvency margin rule for insurance companies issued by IDRA and implemented (Yes/No)	Not Issued	Implemented	Issued Partially Compliant	Partially Achieved Solvency margin rules for both life and non-life has been approved and Gazetted in September 2024
5.IRI - Corporate governance regulations issued by IDRA are followed by insurance companies (Percentage of market share)	0	70	Issued Partially Compliant	Partially Achieved Corporate Governance Guidelines issued by IDRA in October 2023
6.IRI - Insurance companies follow Claims Management Methodology (CMM) and regulation issued by IDRA (Percentage of companies)	0	60	Issued Partially Compliant	Partially Achieved CMM approved and issued in April 2024

7.IRI - Insurance companies issue key facts statements to policy holders following new Consumer Protection Regulations issued by IDRA (Percentage of companies)	0	60	Issued Partially Compliant	Partially Achieved IDRA issued Insurance Consumer Protection Guidelines (ICPG) with Key Fact Statement Templates in August 2024
8.IRI - Mortality and Morbidity tables produced (Yes/No)	No	Yes	Yes - Compliant	Achieved
9.IRI - Number of people trained who received ABIA Diplomas and Certificates (Number)	50	450	453 Compliant	Achieved

Objective #2: Strengthening the Institutional Capacity of the State-owned Insurance Corporations (JBC and SBC)

58. The Objective#2 aimed to (i) enhance the governance framework at JBC and SBC, (ii) modernize and IT/MIS upgrade for improvement of JBC and SBC operations and (iii) capacity building and training of JBC and SBC staff and management.

59. **COVID-19 accentuated the need for more robust reforms in support of insurance market development which BISDP was designed to support.** Despite negative impact of Covid-19 pandemic, use of insurance services was especially important, as the domestic insurance companies and the two state owned insurance companies - JBC and SBC - were at the frontline and were actively participating in mitigation of Covid-19 costs and helping businesses, households and the public sector to cope with the growing costs and share the risks. The project beneficiaries developed special products to enhance medical/health insurance coverage and streamline life insurance offering to the clients in Bangladesh. JBC launched several insurance products to increase protection of first respondents (doctors, policemen, Firmen etc.) and launched special online insurance policy for 2.1 million Bangladesh migrant workers in Saudi Arabia. Sale of insurance policies during the lockdowns was constrained by absence of digital products and underdevelopment of digital distribution channels. Hence, the authorities confirmed the growing importance of the project to increase digitalization and technological preparedness of the project beneficiaries to respond to catastrophic events such as Covid-19, as well as enhance their capacity and efficiency to better serve the needs of the clients in the future.

60. **The project successfully established a robust foundation to modernize and enhance the capacities of JBC and SBC.** In 2020, revisions were made to the organizational structure and staffing rules of the JBC and SBC. The project's investments facilitated the procurement of essential hard and soft infrastructure for both JBC and SBC. The hard infrastructure encompassed all necessary equipment, while the software included a Document Management System (DMS) and digitalization of documents; enterprise applications such as Core-Insurance, CRM, and ERP; Business Intelligence (BI) systems comprising a decision support system, data warehouse, and external data system; and common applications including a portal, HRMIS, email application, and grievance and complaint redressal system. Additionally, the project supported the development of call center operations for both JBC and SBC.

61. The reforms endorsed by this project were exceptionally intricate and ambitious, particularly for a nation such as Bangladesh. However, the project also embraced several pioneering IT solutions. In today's context, when countries are architecting their IT systems, the primary focus is invariably on cybersecurity and interconnectedness, both of which entail substantial financial investments. This project involved seven principal vendors who provided both software and hardware. These vendors were meticulously coordinated to collaborate in constructing an integrated system fortified with robust cybersecurity measures. Additionally, the project included the establishment of data recovery centers, central data centers and network operation centers tailored for each project beneficiary, ensuring comprehensive data protection and seamless operational continuity.

62. **Among the two state insurance companies, JBC is the largest in terms of size, with over 2,000 branches nationwide.** Established in 1973, JBC had no computers in its branches and employed around 18,000 employees across the country at the inception of this project. For instance, consolidating the company's balance sheet required 2-3 months of manual data collection at regional offices, as all records were maintained in paper form. Subsequently, regional offices would input the collected data into Excel sheets and compile reports, a process that took approximately six months to complete. At the project's commencement, there had been no IT reforms. This project equipped all branches, regional offices, and central offices with computers, servers, generators, and other essential IT equipment and technology necessary to modernize the IT systems and infrastructure, ensuring uninterrupted availability of systems and live data. Additionally, the project facilitated the digitization of approximately 33 million paper-based data records, successfully completing this task for IDRA, SBC, and BIA. At the time of the project's closure, the digitization process for JBC was nearing completion. The project encountered significant delays from the vendor responsible for digitizing the records, and JBC faced challenges in organizing the process to ensure timely completion. It also introduced systems for online claims management and online complaint handling, which were transformative and previously non-existent.

63. **The project encountered several challenges, one of which was training 18,000 employees to use the new software, including basic computer skills and applications such as Microsoft Excel and email.** Comprehensive training was provided to all personnel in JBC and SBC to ensure they acquired basic computer and financial literacy, enabling them to effectively utilize the provided equipment and technology. Moreover, the project experienced a delay of approximately nine months in receiving generators due to the Russia's invasion of Ukraine, which disrupted the supply chain. For JBC, the local electricity infrastructure had to be upgraded to ensure an additional electricity connection for the generator. Despite these challenges, the project achieved remarkable success, particularly considering the initial conditions.

64. The World Bank delivered essential technical assistance on various topics to all four project beneficiaries. IDRA, BIA, SBC and JBC received specialized training in Takaful, pricing introduction, actuarial valuation methodologies and assumptions, and bancassurance. Additionally, all four beneficiaries were trained in reinsurance, product design (including property and microinsurance), enterprise risk management, and financial analysis of non-life insurers. This comprehensive support, coupled with the development of new insurance services and enhanced market regulation and supervision, is anticipated to significantly increase insurance market penetration and the growth of insurance policyholders.

65. **The accomplishment of Objective #2 was evaluated using ten IRIs.** At the project's conclusion, five IRIs were overachieved, three IRIs were fully achieved, one IRI was partially met and two IRIs were not met (refer to Table 3 for further details).

Table 3. PDO Objectives, PDO indicators and Intermediate Results Indicators – Status of Achievement

IRIs	Baseline at Appraisal	End Target	Actual	Status
10.Life Insurance policies that lapse after one year at JBC (Percentage)	50	43	35.56 Compliant	Overachieved While the target was set at 43 percent, the actual lapse rate at the project's closure was notably lower, at 35.56 percent. The percentage of life insurance policies that lapse after one year indicates the proportion of policyholders who discontinue their life insurance coverage within the first year of purchasing the policy. This metric is crucial as

				it reflects the retention rate of policyholders and provide insights into customer satisfaction, the effectiveness of the insurance company's onboarding process, and the overall stability of the insurance portfolio.
11.Total number of policy holders at JBC & SBC (Number)	463,000	600,000	2,064,729 Compliant	Overachieved The total number of policyholders at JBC & SBC reached 2,064,729, significantly surpassing the target of 600,000 set at project closure. This represents an impressive overachievement of the IRI by 244.12 percent.
12.Net Claims Ratio at JBC (Percentage)	66	67	75.25 Compliant	Overachieved As a key performance indicator in the insurance industry, the net claims ratio is crucial for assessing an insurer's financial health and operational efficiency. A ratio within the range of 50 to 80 percent is generally considered moderate, signifying that the insurer is effectively managing its risk while continuing to deliver value to its policyholders.
13.Net Claims Ratio at SBC (Percentage)	35	55	53.55 Compliant	Partially achieved
14.Premium growth rates at JBC (Percentage)	7	17	11.51 Non-Compliant	Not Achieved The shortfall may be attributed to several factors, including the impact of the COVID-19 pandemic, market saturation, heightened competition, and internal challenges.
15.Premium growth rates at SBC (Percentage)	7	16	7.41 Non-Compliant	Not Achieved The shortfall may be attributed to several factors, including the impact of the COVID-19 pandemic, market saturation, heightened competition, and internal challenges.
16.Solvency margin rule issued by IDRA is implemented by JBC and SBC (Text)	No	Implemented	Yes – Compliant	Achieved These rules play a crucial role in ensuring that insurers remain financially sound and capable of meeting their obligations, thereby fostering a stable and trustworthy insurance market.
17.Direct project beneficiaries (net increase in policy holders of JBC and SBC who pay a premium for an insurance policy) (Number)	0	130,000	628,760 Compliant	Overachieved The net increase in policyholders of JBC and SBC who pay a premium for an insurance policy is 628,760 against a target of 130,000, representing an overachievement of this IRI by 383.66 percent. This indicates a

				substantial success in attracting new policyholders.
18.Female beneficiaries (net increase yoy in female policy holders of JBC and SBC who pay a premium for an insurance policy) (Percentage)	0	30,000	34,373 Compliant	Overachieved The net increase in female policyholders of JBC and SBC who pay a premium for an insurance policy is 34,373 against a target of 30,000, representing an overachievement of this IRI by 14.58 percent.
19.Direct project beneficiaries who feel that project investments reflected their needs (Percentage)	0	80	80	Achieved

Objective #3: Increasing the Coverage of Insurance in Bangladesh

66. The achievement of objective #3 is confirmed by overachievement of the related PDO Indicator. The target for number of policy holders for both life and non-life has been overachieved by 50.45 percent, indicates a highly successful outcome. The results reflect effective strategies, strong market demand, operational efficiency, customer trust, scalability, and positive future prospects. This achievement is likely to enhance stakeholder confidence and set the stage for continued growth and success. (see details in table 4).

Table 4. PDO Objectives and PDO indicator – Status of Achievement

PDOI and IRIs	Baseline at Appraisal	End Target	Actual	Status
P20.DO3 – 1: Number of insurance policy holders (life and non-life) (Number)	17,000,000	24,000,000	36,108,117 Yes - Compliant	Overachieved

Justification of Overall Efficacy Rating

67. **The overall efficacy rating of the project is assessed as substantial, reflecting the significant strides made in achieving its objectives.** The available evidence suggests that the goals related to the enhancement of the regulatory and supervisory framework have been fully established, laying a solid foundation for future progress. The transition from the adoption phase to the implementation phase will require a period of adjustment. Similarly, the modernization of the insurance infrastructure has reached an advanced stage, signifying a major milestone in the sector's development. The enhancement of institutional capacity among the four project beneficiaries has been substantial, underscoring the concerted efforts made to strengthen these institutions and enable them to fully leverage the modernized infrastructure. The project has demonstrated positive outcomes in terms of its key performance indicators. The two PDO indicators were either achieved or surpassed, showcasing significant progress in these critical areas. Among the 18 intermediate indicators, five were overachieved, four were achieved, six were partially met, and three remained unmet. This performance indicates that the majority of the project targets were either achieved or exceeded, highlighting the project's overall success. This project undertook a formidable challenge and successfully navigated numerous hurdles ensuring the investment was utilized effectively and productively. This commendable effort has not only revitalized the sector but also planted the seeds for sustainable growth in the right direction. It is optimistic that the project's investments in IT/MIS systems and regulatory and supervisory reforms will have a lasting impact, fostering a more robust and well-regulated insurance industry in the years to come.

C. EFFICIENCY

68. **The project was expected to create a well-functioning insurance sector by upgrading the regulatory and supervisory framework, upgrading the accountability and governance framework and modernizing insurance infrastructure and increasing the coverage of insurance in Bangladesh.** Strengthening regulatory and supervisory capacity is essential for safeguarding the stability and development of the insurance sector, protecting policyholders, and promoting financial inclusion and resilience. Modernization of IT/MIS infrastructure for insurance regulators and insurance companies significantly enhance operational efficiency, reduce costs by streamlining processes, minimize expenses and help to foster a more inclusive and resilient insurance sector.

69. **The Insurance sector contributes to financial inclusion, financial stability and long-term finance and consequently to the broader financial sector development agenda.** Specifically, work in insurance increases access for those otherwise excluded, thereby increasing financial inclusion; supports appropriate risk management and risk transfer for firms and households, thereby maintaining financial stability, and mobilizes long-term finance to meet country's development needs as insurance companies (especially life insurance companies) as institutional investors, provides a rich source of long-term capital. Non-life insurance companies can provide liquidity as well as capital to the capital market.[15]

70. **At the appraisal stage, no monetary value was assigned to all benefits to calculate the project's Net Present Value (NPV) or Internal Rate of Return (IRR).** However, an effort has been made to calculate the NPV and IRR at the project's closure. For this purpose, the incremental gross premium of the insurance sector was used as a proxy to estimate the monetary benefits or cash flows. To calculate the incremental gross premium, the forecasted (or calibrated) gross premium for the project period was first determined based on the average annual growth rate of gross premiums observed prior to the project's commencement (2010 to 2016). The difference between the actual gross premium during 2019–2023 and the forecasted gross premium was considered the incremental gross premium. The summary of the incremental gross premium as follows:

Table 5. Summary of the Incremental Gross Premium (Million BDT)

	Total Gross Premium (2019-2023) [16]		
	Forecasted/Calibrated	**Actual**	**Surplus**
Shadharan Bima Corporation (SBC)	58,544.47	58,841.46	296.99
Jiban Bima Corporation (JBC)	29,461.88	33,751.48	4,289.60
Rest of the sector (life + non life)	658,017.28	680,323.56	22,306.28
Grand Total	746,023.63	772,916.50	26,892.87

71. **Component 2 of the project directly contributed to the modernization, strengthening, and efficiency improvements of SBC and JBC.** Therefore, the incremental gross premiums for SBC and JBC can be directly attributed to the project's impact. Component 1, on the other hand, focused on building the capacity of the regulatory authority, IDRA. While this component may not have a direct impact, it is likely to have an indirect influence on the incremental gross premiums for the entire insurance sector. To estimate this indirect impact, the incremental gross premium for the sector (excluding SBC and JBC) was scaled down by the proportion of IDA funding relative to the sector's total gross premium.

[15] Can Interventions Spur Development of the Insurance Sector? World Bank Group
[16] The cash flow of 2024 has been excluded as the insurance sector data is still not available.

72. **Using the average 180-day SOFR from 2020 to 2024 as the discount factor, the NPV and IRR of the project were calculated as follows:**

NPV	BDT (481.33) million
IRR/ERR	11%

73. **While it is challenging to precisely quantify the project's monetary impact, the NPV, though slightly negative at BDT -481.33 million (compared to the total project funding of approximately BDT 6,623.87 million), and the IRR of 11 percent suggest that the project has had a positive influence on Bangladesh's insurance sector.** Moreover, the project is expected to deliver sustained long-term benefits and continue to strengthen the sector in the years to come.

74. **The project demonstrated operational efficiency.** Even though the project experienced implementation delays mainly due to late project effectiveness and disruptions caused by Covid-19 pandemic, it was able to complete implementation of planned regulatory and supervisory reforms and many of the IT/MIS infrastructure investments and improve capacity of the four project beneficiaries. The project was able to achieve or exceed the two PDO targets.

75. **The project generated several unintended positive externalities, including the Maximizing Finance for Development (MFD) effect, which benefited the private insurance sector despite not being an explicit objective.** A key example is the project's interventions with the Bangladesh Insurance Academy, which provided knowledge and expertise to the entire insurance sector, including private participants. These efforts contributed to capacity building and professional development, enhancing the performance and competitiveness of the private insurance market in Bangladesh. By strengthening the Academy, the project facilitated the dissemination of best practices and advanced training, equipping both public and private sector participants with the skills needed to navigate the regulatory landscape and adopt innovative approaches. Consequently, the project's influence extended beyond its initial scope, fostering a more robust and dynamic insurance sector.

76. Considering the factors, described above, efficiency is rated as **Modest**.

Assessment of Efficiency and Rating

77. The efficiency rating is assessed as modest due to the negative NPV; however, it is important to note that the current calculation does not account for potential future cash inflows that the project is expected to generate in the coming years. The long-term benefits of the project's capacity development initiatives extend well beyond the project duration, and their full impact will only materialize over time. While the NPV is currently negative, it is not significantly low given the limited timeframe considered in the analysis. Future cash inflows impacts are anticipated to offset the initial shortfall, underscoring the project's potential for longer-term financial sustainability and value.

D. JUSTIFICATION OF OVERALL OUTCOME RATING

Table 5. Justification of Overall Rating by Relevance, Efficacy and Efficiency

Relevance of PDO	High
Efficacy	Substantial
Efficiency	Modest
Overall Outcome Rating	Moderately Satisfactory

E. OTHER OUTCOMES AND IMPACTS (IF ANY)

Gender

78. **The project recognized the significance of gender considerations in addressing the low insurance penetration rate in Bangladesh, which often excludes women from insurance coverage.** Despite having a higher life expectancy than men, women face several disadvantages, including lower incomes, shorter working careers, employment interruptions due to childbirth and family responsibilities, and limited access to insurance products. Consequently, a modernized and more efficient insurance sector can enhance opportunities for women to access insurance, thereby expanding their options for risk management and preventing them from falling into poverty in the event of a loss. During the appraisal phase, the project did not identify specific gender gaps or propose targeted interventions to address these gaps. However, it included an intermediate results indicator: "Net year-on-year increase in female policyholders of JBC and SBC who pay a premium for an insurance policy," with a target of 30,000 female policyholders. By the end of August 2024, the project recorded 33,373 female policyholders, surpassing the target by 14.58 percent. Additionally, the project incorporated another intermediate results indicator to capture "Direct project beneficiaries who feel that project investments reflected their needs" through a gender-disaggregated Citizens Engagement Survey (CES) to gather beneficiary feedback. The CES conducted towards the project's closure revealed a satisfaction level of 83 percent of female policyholders.

Institutional Strengthening

79. **The project identified the enhancement of institutional capacity among its primary beneficiaries as a pivotal goal to boost insurance penetration in Bangladesh.** In this regard, capacity development via the TA support under Component 1 and 2 of the project was dedicated to institutional strengthening of IDRA, BIA, JBC and SBC. This aspect is discussed in detail in Section B: Efficacy section of this ICR. The project delivered important capacity building and training for IDRA staff on RBS (off-site supervision and on-site inspection), solvency margin, corporate governance, transition to RBCC and IAIS standards to regulate and supervise the insurance sector. The project also provided important TA support for all four project beneficiaries in Takaful, introduction to pricing, actuarial valuation methodologies and assumptions, bancassurance, reinsurance, product design (including property and microinsurance), enterprise risk management, and financial analysis of non-life insurers. This comprehensive support, coupled with the development of new insurance services and enhanced market regulation and supervision, is anticipated to significantly increase insurance market penetration and the growth of insurance policyholders.

Mobilizing Private Sector Financing

80. **Although the project did not explicitly aim to mobilize private sector funding or support the private segment of the insurance sector, it nonetheless had a beneficial impact on the private sector.** This positive effect can be regarded as an unintentional yet favorable outcome of the project. A notable example of such a positive impact is the project's interventions with the Bangladesh Insurance Academy. The Academy is tasked with providing knowledge and expertise to the entire insurance sector, including private participants. Through these interventions, the project has indirectly contributed to the capacity building and professional development of individuals within the private insurance sector. This, in turn, has the potential to enhance the overall performance and competitiveness of the private insurance market in Bangladesh. By strengthening the Bangladesh Insurance Academy, the project has facilitated the dissemination of best practices, advanced training programs, and

industry-specific knowledge. These efforts have equipped both public and private sector participants with the necessary skills and expertise to navigate the evolving regulatory landscape and to adopt innovative approaches within the insurance industry. Consequently, the project's influence extends beyond its initial scope, fostering a more robust and dynamic insurance sector that benefits from the synergies between public and private entities.

Poverty Reduction and Shared Prosperity

81. **The project was expected to contribute to poverty reduction and shared prosperity by supporting to facilitate financial intermediation and contributing to build a stronger financial sector.** In addition, developing the insurance sector expected to enhance opportunities for risk mitigation and income-smoothing mechanisms for underserved populations and helps relieve pressure on social welfare systems, reserving Government resources for essential social security and other worthwhile purposes. The project reported an increase in number of policyholders for both life and non-life by 36,108,117 against a target of 24,000,000. An overachievement indicates a successful outcome and is likely to enhance stakeholder confidence and set the stage for continued growth and success.

II. KEY FACTORS AFFECTED IMPLEMENTATION AND OUTCOME

A. KEY FACTORS DURING PREPARATION

82. **The project design was ambitious in its objectives and innovative in its approach.** It aimed to complement ongoing and planned financing within the CPF at the time of appraisal, including three Investment Policy Financing projects[17] and an Advisory and Analytics program[18]. The regulatory and supervisory reforms, along with the state-of-the-art IT infrastructure investments supported by the project, were forward-thinking and aimed at significant advancements. However, the design faced challenges in aligning with the original project timeline due to the complexity of the initiatives. While the project did not fully account for the absorptive capacity of IDRA, BIA, JBC, and SBC to implement the project, it highlighted the need for a more phased approach to accommodate potential delays in developing and implementing core regulatory and supervisory changes. For instance, the draft solvency margin rules for insurance companies prepared by IDRA in February 2023 were approved and gazetted in September 2024, illustrating the time required for such critical processes.The project design recognized the transformative shift from a manual system to IT-based systems, although it underestimated the resources and time required for this transition. The project duration, while ambitious, brought to light the necessity for a more extended timeline to complete the complex IT upgrade, which involved detailed analysis and evaluation of existing IT systems and required external expertise. Despite these challenges, the project set a strong foundation for future advancements and highlighted areas for improvement in planning and resource allocation.

83. **The preparation and approval of the Development Project Plan experienced delays.** The Government of Bangladesh (GoB) mandates the preparation and approval of a Development Project Plan [19] (DPP) for Investment Policy Financing (IPF) projects to ensure that they are well-planned, aligned with national development goals, and have a clear framework for implementation and monitoring. Typically, a DPP receives government approval by

[17] Financial Sector Support Project (FSSP-P150938), Investment Promotion and Financing Facility 2 Project (IPFF – P159429) and Modernization of State-Owned Financial Institutions Project (P155363)

[18] Financial Sector Development Program (P156131)

[19] Key aspects of the DPP includes alignment with national or sector development strategies, detailed planning for implementation, and consider the legal, regulatory, and institutional environment, assess fiscal implications, budget sustainability, and expenditure efficiency, a results framework for monitoring and evaluation, an economic evaluation, and assessments of fiduciary systems and environmental and social impacts to meet standards and mitigate risks.

the time the project is poised for implementation. However, in this particular instance, the DPP underwent revisions and required multiple approvals from the Ministry of Finance and the Planning Commission. For example, in October 2020, approval was sought for the integration of an IT consultancy firm and its role within the project. Additionally, in June 2021, further approval was needed to accommodate changes to certain procurement activities. These revisions contributed to subsequent delays in advancing the project's implementation.

84. **The project lacked sufficient readiness for implementation.** During the preparation phase, it is crucial to conduct a thorough assessment of the sector, organizational needs, institutional capacity of the implementing agencies, ensure the availability of adequate human resources to design a project that secure stakeholder commitment. These key factors, which were adequately not covered in this project, are vital for effective project preparation and implementation. During its preparation phase, a feasibility study was conducted by IDRA in consultation with the Bangladesh Computer Council (BCC) as a fulfilment of the GoB’s requirement for approval process for all development projects, which did not include comprehensive stakeholder consultation. This oversight led to a misalignment between the project's objectives and the actual needs on the ground. Insufficient time was invested to ensure a comprehensive understanding of the project and to secure acceptance from top to middle management levels, resulting in a project that did not align well with the client's demands. For example, the data center and call center at the BIA were unnecessary for the actual client, leading to investments in infrastructure that were not requested. Future projects should prioritize comprehensive stakeholder engagement to ensure alignment between project goals and client needs.

B. KEY FACTORS DURING IMPLEMENTATION

(a) Factors subject to the control of Government and Implementing Agencies

85. ***Effectiveness delay:*** The project, initially approved on March 30, 2017, experienced a 16-month delay before becoming effective on July 8, 2018. This delay was primarily attributed to the extended time required to secure approval from the Executive Committee of the National Economic Council (ECNEC). ECNEC, operating under the Cabinet Division of the GoB, is responsible for validating, approving, and advancing nationally significant development projects. The protracted approval process by ECNEC resulted in the unforeseen delay in the project's effectiveness which led to significant delays of the project procurement and disbursement compared to the original schedule.

86. Delayed project implementation and ongoing recruitment of key specialists: The effective commencement of the project implementation was realized only after the recruitment of the PIU staff and the Project Director (PD) in March 2019, marking an 8-month delay from the project's effectiveness date. The PD, who remained with the project until its closure, was appointed in January 2022, making him the third PD since the project's inception, with the first PD having been appointed in August 2018. The senior procurement specialist was recruited to the PIU in June 2021, halfway through the project. As of July 2023, the PIU was still in the process of recruiting key specialists, including those in IT, Financial Management, and Project Monitoring, to enhance the monitoring of project implementation progress and address outstanding issues. In retrospect, maintaining the same PD and Project Monitoring specialist for two consecutive years yielded positive outcomes, including enhanced project coordination, improved implementation, and accelerated disbursements.

87. Limited capacity of implementing agencies and internal bureaucracies delayed project implementation: In addition to supporting foundational reforms, a significant aspect of this project was the modernization of the insurance sector through the introduction of IT-based solutions. As of September 2020, the procurement of six large IT/MIS packages, including the purchase of equipment valued at an estimated US$ 46.2 million, had not been initiated, and the bidding documents had not been prepared. The implementing agencies lacked the capacity to draft bidding documents and launch procurement activities for these high-value investments.

Consequently, it was decided to hire an IT consultancy firm, Technohaven, to support the implementing agencies based on technical diagnostics. Furthermore, the DPP approved by the GoB did not initially include provisions for hiring a IT consultancy support. This provision was integrated and approved, enabling the hiring of Technohaven only in October 2020. These factors resulted in delays in project implementation and disbursements.

88. ***Vendor Management and System Integration:*** The collaboration with multiple vendors in the development and implementation of various systems under the project provided valuable insights into integration processes, particularly with Application Programming Interface (API) sharing. For future projects, engaging fewer vendors could streamline integration efforts and further enhance system compatibility, leading to more seamless and efficient project execution.

89. ***Changes in leadership and no clear high-level champion*:** The project identified the Insurance Development and Regulatory Authority (IDRA) as the primary implementing agency and the institution responsible for providing leadership. However, during the project's lifespan, the Chairmanship of IDRA changed hands multiple times. Similar changes took place in the senior positions in JBC and SBC. These leadership changes disrupted the continuity of project implementation, as new leaders required time to acclimate and provide the necessary guidance, thereby impacting the project's strategic direction. Consistent stewardship would have significantly enhanced the project's success. Additionally, during the appraisal phase, it was decided to establish a Project Steering Committee (PSC) to offer strategic policy guidance and oversight for the project's implementation. However, there is no record of such a committee being formed. Instead, the Financial Institutions Division (FID) and the Economic Relations Division (ERD) of the Ministry of Finance assumed this role. Although FID and ERD were not direct beneficiaries under the project design, they oversaw the project's initiation and implementation and played a crucial role in advancing the development of the insurance sector. Nevertheless, the absence of a dedicated PSC and a clear high-level champion hindered the reform process and impeded smoother project implementation.

(b) Factors subject to World Bank Control

90. ***Adequacy of supervision and reporting:*** The adequacy of supervision and reporting for the project was ensured through the Bank team’s consistent oversight. Bi-annual project supervision missions were conducted to assess progress, address implementation challenges, and provide technical assistance to the implementing agencies throughout the project lifecycle. During Covid-19 pandemic, the Bank team conducted virtual supervision missions. The Bank team responded effectively to changes introduced by the GoB, particularly with regard to project restructuring and the extension of the project’s closing date. Additionally, the Bank team raised immediately the issues regarding capacity and the need to improve capability at the PIU when the situation warranted. The implementing agencies expressed high appreciation for the support provided by the Task Team Leader (TTL), Bank staff, and consultants, particularly in introducing critical policy reforms, modernizing IT/MIS infrastructure, and enhancing technical capacity. They also noted that financial management support was adequate but expressed room for improvement with certain aspects of procurement support. Delays in clearing procurement packages and approvals adversely affected their decision-making processes and the project timeline. Although some delays were attributed to incomplete package submissions including lack of diligence in preparing procurement documents, the Bank team had to ensure compliance with its standards while also emphasizing the importance of submitting complete and accurate information for WB procurement review to prevent rounds of revisions, which contributed to the delays. Reporting of supervision missions have been documented in Implementation Status and Results Reports (ISR), Management letters and Aide Memoires and other related technical notes. The Bank team's reporting was candid, highlighting critical issues that impeded project implementation and formally communicating these to the implementing agencies in a timely manner.

(c) Factors outside the control of the Government and Implementing Agencies

91. ***Covid-19 pandemic:*** The Covid-19 pandemic impacted in many ways. Firstly, the lockdown from March to June 2020 and the subsequent quarantine of the PIU team severely disrupted project activities. This disruption led to the suspension of activities under existing contracts and delayed the finalization of ongoing procurement processes for several critical packages. Additionally, new procurement activities progressed slowly, resulting in significant delays in overall project procurement and disbursement compared to the original schedule. Secondly, the WB strongly recommended that the authorities facilitate the participation of the IDRA in meetings of the International Association of Insurance Supervisors and other relevant regulatory bodies, in line with IDRA's mandate and development agenda. However, travel bans and restrictions on external travel and training during the pandemic prevented BISDP project beneficiaries from utilizing project funds for such purposes. Lastly, disruptions in the global supply chain caused delays in the delivery of essential equipment needed to modernize the insurance infrastructure for project beneficiaries.

92. ***Civil Unrest:*** The Student-People's Uprising, a pro-democratic mass movement against the government in Bangladesh, presented significant challenges to the implementation of the project. The civil unrest led to a complete halt in project operations for a period of two and a half months, from June to August 15, 2024. This interruption had profound implications, ultimately leading to the closure of the project as per the schedule on 30 August 2024. The cessation of activities during this critical period severely hindered the project's progress and posed a substantial disadvantage to its successful completion. The inability to continue operations not only delayed key milestones but also disrupted the momentum and coordination necessary for achieving the project's objectives. Consequently, the civil unrest had a detrimental impact on the overall success and timely delivery of the project.

III. BANK PERFORMANCE, COMPLIANCE ISSUES, AND RISK TO DEVELOPMENT OUTCOME

A. QUALITY OF MONITORING AND EVALUATION (M&E)

M&E Design

93. **A theory of change at appraisal would have clarified challenges, linked interventions to outcomes, and supported a robust M&E framework.** Formulating a theory of change at the appraisal stage would have clarified the specific challenges the project aimed to address through regulatory and IT/MIS investments, and the desired outcomes. This approach would ensure a clear causal pathway, linking project interventions to the targeted outcomes, and ensuring a common understanding among stakeholders about the project's design and objectives. By identifying key interventions and critical assumptions, the theory of change supports the development of a robust M&E framework, tailored to capture relevant indicators and assess progress effectively, thereby enhancing the project's ability to achieve its intended results.

94. **Most of the indicators were thoughtfully designed, and minor adjustments to the targets of some indicators could have better aligned them with on-the-ground realities.** Certain indicators could have more accurately reflected the capacity of the implementing agencies to implement the required reforms and modernize the infrastructure supported by the project within the established timeline. For instance, based on experience in Bangladesh and other countries, a minimum of 24 to 30 months is typically needed for implementing agencies to develop and execute core regulatory, supervisory, and legislative changes, as well as to develop, install, test, and roll out complex IT/MIS solutions across all beneficiary agencies, including their central offices and branches. Strengthening IDRA’s regulatory and supervisory capacity also requires substantial time and resources.

Recognizing this, it would have been beneficial to adjust the indicators in the results framework to reflect a more realistic timeline for achievement. This approach would have ensured that the project duration was sufficient for achieving all the relevant indicators, ultimately leading to more successful and sustainable outcomes.

M&E Implementation

95. **The Monitoring and Evaluation (M&E) system was structured around the Results Framework (RF) established at appraisal, with minor adjustments made during the first Level II restructuring.** Once the PIU was established, it assumed responsibility for overseeing M&E activities and tracking the project's progress. The PIU collected relevant data from the four primary project beneficiaries —IDRA, JBC, SBC, and BIA—and supplemented this with information gathered through citizen engagement surveys. To support these M&E efforts, the PIU developed a comprehensive Monitoring, Evaluation, and Reporting Manual. As part of the M&E process, bi-monthly calls were organized between the PIU and the Bank team, while monthly project progress discussions involved all four project beneficiaries. Additionally, quarterly progress meetings were held between the Bank team and key stakeholders, including PIU, IDRA, and the ERD. In essence, the PIU was responsible for collecting, compiling, and reporting on all M&E data, including both impact and output indicators.

96. **The RF was slightly adjusted during the project to better align with project outcomes**. In the project restructuring of August 2022, the wording of one PDO indicator and three intermediate indicators was revised, and one intermediate indicator was removed as it had already been implemented and no longer required project support. Progress reports and evaluations were consistently prepared throughout the implementation, documenting the achievements. The PIU collected information and provided progress reports to the World Bank. The Bank team discussed the results indicators with the implementing agencies during supervision missions and more regularly through the agreed monitoring and evaluation process, recording the results in the post-mission packages. However, there were challenges in registering procurement activities in the Systematic Tracking of Exchanges in Procurement (STEP), as document archiving in the procurement platform was either delayed or inadequately performed, necessitating process improvements. These issues persisted until the later stages of project implementation.

M&E Utilization

97. **The M&E system was instrumental in tracking progress towards achieving the targeted results and outputs, as well as ensuring compliance with the reporting requirements stipulated under the project.** The data collected through the M&E system was utilized to provide reports to Bank management via the regular ISRs, particularly during instances of project restructuring. At the time of project closing, the effectiveness of the M&E system was acknowledged, receiving a Satisfactory rating in the final ISR.

Justification of Overall Rating of Quality of M&E

98. **The overall rating for M&E at ICR is Substantial.** There were minor issues regarding the design of M&E system but implementation and utilization of M&E during project implementation period was high. Hence the overall rating is assessed as substantial.

B. ENVIRONMENTAL, SOCIAL, AND FIDUCIARY COMPLIANCE

Environmental

99. **The project's environment risk rating was Category C.** No environmental safeguard policy was triggered due to no or minor environmental impacts. A climate and disaster risk screening carried out for the project showed that climate change poses a low risk to project development outcome and service delivery.

100. **The project was designed to have a substantial social impact by expanding insurance coverage, thereby enabling families and individuals to better manage risks and prevent poverty in the event of a loss.** It also acknowledged the importance of incorporating gender considerations to address the low insurance penetration rate in Bangladesh, which has traditionally excluded women from coverage. To assess the effectiveness of the project, a citizen engagement survey was conducted towards the end of the project, from May to July 2024, with 2,637 policyholders participating. The survey sample was representative of JBC and SBC policyholders, and the questionnaire aimed to evaluate beneficiaries' awareness of the project, their usage of services, and their satisfaction with JBC and SBC. Overall, 80 percent of respondents expressed satisfaction with the reforms implemented.

Financial Management

101. **The financial management performance rating remained satisfactory throughout the project implementation period, with the exception of October 2023, when it was downgraded to moderately unsatisfactory.** The primary factors contributing to this downgrade included the PIU's failure to utilize project accounting software due to the departure of several FM specialists, resulting in a significant backlog of entries. Additionally, the cash book was not updated regularly, with a nine-month interval between records from June 2022 to February 2023. No transactions were recorded in the accounting software "Tally," and the project maintained accounts in Excel, which was prone to human error and omissions, contrary to the World Bank's recommendations from 2021. The asset register was also not maintained according to the standard format, with missing asset identification numbers and usernames in some cases. Furthermore, some expenditures recorded by the PIU were not eligible for IDA financing. Despite these issues, the submissions of IUFRs were generally at an acceptable level, and the financial management rating was upgraded to satisfactory in the final ISR.

Procurement

102. **Throughout the project duration, the procurement rating remained Moderately Satisfactory.** The World Bank's procurement guidelines were adhered to for goods and consultancy services under components 1 and 2 of the project. However, the project faced significant challenges, including a 16-month delay in project effectiveness and disruptions caused by the Covid-19 pandemic during its early stages. By mid-July 2020, project disbursements were approximately 10% (US$6.4 million). The subsequent 24 months were dedicated to advancing six major procurement packages, valued at US$46.2 million, for the purchase of equipment and IT/MIS systems for all four beneficiary agencies. The project procurement plan underwent a comprehensive overhaul, reducing the number of activities and consolidating key procurement tasks to streamline the process and enhance cost and process efficiencies. Despite these efforts, the project encountered procurement delays due to challenges in preparing complex bidding documents and technical specifications for large IT infrastructure, as well as finalizing the selection and signing of contracts. A post-procurement review revealed that procurement documents were not uploaded in a timely manner in STEP in several instances, and there were concerns regarding the diligence in preparing procurement documents, including bidding documents, evaluation reports, and draft contracts, which resulted in omissions and mistakes. Submitting complete and accurate information for the World Bank procurement review could have prevented multiple rounds of revisions and expedited the procurement process. The onboarding of the IT consulting firm, Technohaven, marked a turning point in advancing the procurement of IT/MIS infrastructure and solutions. By early 2024, the selection process for all procurement activities was completed.

C. BANK PERFORMANCE

Quality at Entry

103. **The project's strategic relevance and approach was aligned with the national and CPF priorities and technical framework was designed to complement ongoing and planned IPFs and an ASA, yet extensive consultations with key stakeholders were needed.** The primary objective of the project was to implement foundational regulatory and supervisory reforms to address the identified gaps in the insurance sector. This included modernizing insurance infrastructure through the introduction of state-of-the-art IT solutions and supporting equipment, strengthening the institutional capacity of the four project beneficiaries, and establishing governance and accountability frameworks to increase the insurance coverage and close the protection gap in Bangladesh. The project was structured as an IPF, with the achievement of regulatory and supervisory reforms integrated into the results framework. Conversely, the disbursement of project funds was contingent upon the successful procurement and completion of onboarding all IT/MIS solutions and equipment. A thorough assessment of the institutional capacity of the four project beneficiaries, along with an evaluation of organizational needs and a comprehensive sector assessment, coupled with extensive stakeholder consultations, would have ensured full buy-in and ownership of the project design. This approach would have facilitated the selection and adequate sequencing of the reforms supported by the project, with realistic milestones for their accomplishment.

104. **The project would have greatly benefited from the establishment of a Project Steering Committee to provide strategic policy guidance and oversight throughout its implementation**. The absence of a high-level champion to offer essential policy guidance, resolve implementation challenges, and steer the project towards successful completion was a significant shortcoming. Although the ERD and the FID possessed the requisite political influence, technical expertise, and vision for the development of the insurance sector, they did not effectively fulfill this critical role during the project's implementation.

105. **The implementing arrangements for the project would have been further enhanced by establishing a dedicated PIU within the beneficiary agencies.** Although a formal PIU was set up for overall project coordination and monitoring and evaluation under IDRA but not physically co-located in IDRA, there was no formal PIU within each other beneficiary agency. The PD was seconded from the Ministry of Finance, and the PIU collaborated closely with IDRA. While the PIU played a crucial and effective role in executing its mandate, having dedicated teams in other project beneficiary organizations would have further strengthened project coordination and accountability.

Quality of Supervision

106. **During the implementation period, the project benefited from fourteen supervision missions and consistent implementation support from the World Bank team.** The task team was appropriately staffed with the required expertise to effectively support project implementation. Although the TTL was not based in Bangladesh for the majority of the implementation period, both the TTL and the Bank staff stationed in Bangladesh maintained close communication with the PIU on day-to-day operational matters. They coordinated efficiently and promptly with the four project beneficiaries. Bi-annual project supervision missions were conducted to evaluate progress, address implementation challenges, and provide technical assistance to the four project beneficiaries throughout the project lifecycle. During the COVID-19 pandemic, the Bank team adapted to travel restrictions by conducting virtual supervision missions. The project experienced a transition between two TTLs from preparation to implementation. The first TTL oversaw the project during its preparation and early implementation stages.

Subsequently, the second TTL assumed leadership and managed the project through to its closure. The transition was seamless, as the second TTL initially joined the project as a co-TTL before fully taking over the responsibilities.

107. **The support received from the TTL, Bank staff and consultants were highly acknowledged by the four project beneficiaries.** Particularly in introducing critical policy reforms, modernizing IT/MIS infrastructure, and enhancing technical capacity. The PIU and the four project beneficiaries benefited from training on World Bank financial management and procurement which helped these entities to improve their capacity on these fronts which supported to accelerate project procurement activities. However, while the agencies were satisfied with the training provided on procurement there were concerns that more timely review and approval of several complex IT/MIS procurement packages would have supported to accelerate related project activities. During the early stages of implementation training on basic computer/IT skills and introduction to basic insurance concepts were provided. This was followed by mobilizing technical experts and capacity building to training IDRA in number of technical topics on RBS off-site supervision and on-site inspection, solvency margin and transition to RBCC and IAIS to support the regulatory reforms. In addition, IDRA, BIA, and JBC received specialized training in Takaful, pricing introduction, actuarial valuation methodologies and assumptions, and bancassurance. Additionally, all four beneficiaries were trained in reinsurance, product design (including property and microinsurance), enterprise risk management, and financial analysis of non-life insurers.

108. **The project team delivered comprehensive updates on the project's performance.** The TTL and the task team closely monitored project implementation activities, providing robust support and guidance, particularly after the project's mid-point, to ensure its successful execution. This diligent and intensive follow-up and support deserve commendation. The supervision missions' findings were meticulously documented in ISR, Management Letters, Aide Memoires, and other relevant technical notes. The Bank team's reporting was transparent, candidly identifying critical issues that hindered project implementation, and these issues were formally communicated to the implementing agencies in a timely manner.

Justification of Overall Rating of Bank Performance

107. Based on the above findings, the World Bank performance is rated “Moderately Satisfactory”.

D. RISK TO DEVELOPMENT OUTCOME

108. The reforms supported under the project are of high national importance. The project primarily focused on supporting essential regulatory and supervisory reforms, investing in state-of-the-art IT/MIS infrastructure, and capacity building. Before this project, the country's insurance sector was fragmented and had limited capacity, with all four project beneficiaries operating on manual systems. This project was a pivotal step in transitioning these entities to an automated system. As a result, IDRA can now assess the performance and compliance of insurance companies in real-time, serving as an early warning system to promptly monitor the health of the insurance industry. Additionally, the project provided essential technical support and capacity building to enhance IDRA's regulatory and supervisory functions, making them more effective and efficient. The COVID-19 pandemic highlighted the necessity for stronger reforms to develop the insurance market, which BISDP aimed to support. Despite the pandemic's negative impact, insurance services proved crucial as domestic and state-owned insurance companies (JBC and SBC) played a key role in mitigating COVID-19 costs and assisting businesses, households, and the public sector in managing the increasing expenses and risks.

109. **The risk to the development outcome achieved by the project is Moderate.** With significant progress, there are opportunities to further integrate IT systems, build institutional capacity, and effectively engage stakeholders in the reforms supported by the project. Moreover, counterparts would benefit from more extensive capacity building to adapt to the new regulatory and supervisory environment and effectively utilize the new IT applications. Continued support will reinforce the sustainability of some reforms and IT frameworks. In discussions with the four main project beneficiaries, they expressed their readiness and full commitment to continue the reforms, including through support from development partners. Their feedback emphasized the need for technical assistance to strengthen sector capacity and develop a roadmap for the next phase of reforms potentially could be supported through a development policy financing operation(s) or a financial sector investment policy financing project. This next phase could focus on consolidating IT infrastructure by ensuring full functionality and integration of systems, extending automation across all insurance companies, and aligning with global standards while adapting to local needs. Capacity building could be prioritized through training in actuarial science, IT proficiency, and claims management, supported by expanded faculty and facilities at key institutions. Potential policy reforms might aim to simplify and strengthen regulatory frameworks, incorporate global best practices, and enhance trust and penetration in the insurance sector. Stakeholder awareness campaigns could promote the benefits of insurance and automation, targeting reduced policy lapse rates and improved claims processes. Additionally, operational enhancements could address system gaps with innovations like satellite imaging, blockchain for transparency, and cybersecurity, while expanding inclusive products such as micro-insurance to boost rural penetration. These efforts would ensure a robust and well-regulated insurance industry, fostering long-term sustainability and growth.

IV. LESSONS AND RECOMMENDATIONS

110. **Stakeholder engagement in project design.** Engaging all relevant stakeholders early in the project design process is essential to ensure that their needs and priorities are accurately identified and integrated into the project framework, resulting in more relevant and effective interventions. Comprehensive consultations with various levels of management, including those responsible for policy decisions as well as operational and technical staff involved in project implementation, are crucial for securing commitment and ownership of the reforms at all levels, supported by the project. Sharing these engagement efforts with the project implementation unit, can facilitate the PIU to effectively coordinate project activities to meet the project's objectives. Active participation of relevant stakeholders in the project design phase helps in identifying potential risks, securing necessary support, and facilitating smoother project implementation. This inclusive approach fosters a sense of ownership, enhances transparency, and builds trust among all stakeholders from project design phase to implementation phase till closure.

111. **Leadership stability.** Minimizing changes in leadership positions is critical for successful project implementation. Consistent stewardship ensures continuity in vision, strategy, and execution, which are essential for maintaining project momentum and achieving desired outcomes. Throughout the lifecycle of BISDP, the Chairmanship of IDRA underwent several changes. Frequent changes in leadership disrupted project activities, led to a loss of institutional knowledge, and undermined stakeholder confidence. Stable leadership has the ability to ensure effective navigation of challenges, maintaining stakeholder engagement, and ensuring timely decision-making. Considering the hierarchical nature of decision making in the Government of Bangladesh, the stewardship of a high-level leadership throughout the project is very important. Therefore, future projects should prioritize leadership stability to enhance project coherence, foster a strong sense of accountability, and ultimately, achieve greater success.

112. **Leveraging specialized consultancy to overcome technical challenges and early on project implementation.** When the proposed insurance infrastructure reforms are technically complex, specialized technical assistance including World Bank support is needed early on in project implementation to achieve the desired objectives. The initial challenges encountered in the project after late project effectiveness were primarily attributed to the limited technical expertise of both the project counterparts and the PIU in managing the complex IT/MIS investments. Any IT/ MIS implementation is complex especially in a greenfield environment like Bangladesh Insurance sector, therefore, the project design included engaging a specialized IT consulting firm from the inception of the project to fill the capacity gap of beneficiary organizations. However, there was a 2 year delay in onboarding Technohaven, an IT consultancy firm and the lessons learnt is to engage a consultancy firm as soon as possible of project effectiveness. In addition, onboarding Technohaven even after 2 years of project effectiveness, proved to be a turning point. Technohaven offered a wide array of services, ranging from diagnosing issues to preparing detailed bidding documents and ensuring stringent quality control over final deliverables. This expert consultancy support was instrumental in enabling project beneficiaries to swiftly gain the necessary proficiency, thereby advancing the IT/MIS reforms effectively. The key takeaway is that engaging specialized consultancy firms from early on plays a critical role in bridging technical knowledge gaps, strengthening organizational capacity, and accelerating the implementation of intricate technological components, all of which are vital to the success of such complex projects.

113. **Role of the IFC and World Bank Mandate:** The project highlighted the importance of inclusive reform implementation across the insurance sector. While the project successfully supported IDRA, BIA, and two state-owned insurance companies, it became evident that the 81 private insurance companies also need to comply with the regulatory and IT reforms introduced by the program. Ensuring that all companies adopt these reforms is crucial for the overall success of the initiative. Client feedback emphasized the need for technical assistance to bridge this gap, continuously build sector capacity, and identify a roadmap for future reforms. To address these needs effectively, a collaborative approach between the World Bank and IFC is recommended. The World Bank should focus on policy reforms, capacity building, and establishing sector-wide regulatory frameworks. Meanwhile, the IFC should leverage its private sector expertise to engage directly with private insurance companies, providing advisory support and facilitating investments to enable the adoption of IT systems and best practices. Such a partnership would ensure comprehensive and inclusive implementation of reforms across the sector, ultimately leading to a more robust and well-regulated insurance industry.

ANNEX 1. RESULTS FRAMEWORK AND KEY OUTPUTS

A. RESULTS FRAMEWORK

PDO Indicators by Outcomes

Project Development Objectives Indicators								
Indicator Name	Baseline		Closing Period (Original)		Closing Period (Current)		Actual Achieved at Completion	
	Result	Month/Year	Result	Month/Year	Result	Month/Year	Result	Month/Year
IDRA adopted new smart risk based regulatory approach, supervisory technique along with IT/MIS solutions (smart RBS) (Text)	No	Feb/2017	RBS framework adopted by IDRA	Feb/2024	RBS framework adopted by IDRA	Feb/2024	Yes	Apr/2024
	Comments on achieving targets		IDRA introduced RBS Framework in April 2024					
Number of insurance policy holders (life and non-life) (Number, Custom) (Number)	17,000,000.00	Dec/2015	24,000,000.00	Feb/2024	24,000,000.00	Feb/2024	36,108,117	Aug/2024
	Comments on achieving targets		Overachieved - The target for number of policy holders for both life and non-life has been overachieved by 50.45 percent, indicates a highly successful outcome. The results reflect effective strategies, strong market demand, operational efficiency, customer trust, scalability, and positive future prospects.					

Intermediate Indicators by Components

Improving the Capacity of the Insurance Development and Regulatory Authority (IDRA) and the Bangladesh Insurance Academy (BIA)								
Indicator Name	Baseline		Closing Period (Original)		Closing Period (Current)		Actual Achieved at Completion	
	Result	Month/Year	Result	Month/Year	Result	Month/Year	Result	Month/Year
Insurance companies follow off-site monitoring templates issued by IDRA for smart risk based supervision. (Text)	No	Dec/2017	40% life and non-life insurance companies comply with the new offsite	Feb/2024	40% life and non-life insurance companies comply with the new offsite	Feb/2024	No	Aug/2024

			reporting requirements		reporting requirements			
	Comments on achieving targets		Not Achieved Off-site monitoring templates have been prepared by IDRA in September 2024					
On-site inspections of insurance companies performed annually by IDRA (Number, Custom) (Number)	0.00	Dec/2017	40.00	Feb/2024	40.00	Feb/2024	30	Aug/2024
	Comments on achieving targets		Partially Achieved On-site inspection manuals approved in April 2024 and new RBS-based onsite inspection template published in September 2024					
Solvency margin rule for insurance companies issued by IDRA and implemented (Text)	Not issued	Dec/2017	Implemented	Feb/2024	Implemented	Feb/2024	Issued	Sep/2024
	Comments on achieving targets		Partially Achieved - Solvency margin rules for both life and non-life has been approved and Gazetted in September 2024					
Corporate governance regulations issued by IDRA are followed by insurance companies (Percentage)	0.00	Dec/2017	70.00	Feb/2024	70.00	Feb/2024	Issued	Oct/2023
	Comments on achieving targets		Partially Achieved - Corporate Governance Guidelines issued by IDRA in October 2023					
Insurance Companies follow Claims Management Methodology and regulation issued by IDRA (Percentage)	0.00	Dec/2017	60.00	Feb/2024	60.00	Feb/2024	Issued	Apr/2024
	Comments on achieving targets		Partially Achieved - CMM approved and issued in April 2024					
Insurance companies issue key facts statements to policy holders following new Consumer Protection regulations issued by IDRA (Percentage)	0.00	Dec/2017	70.00	Feb/2024	70.00	Feb/2024	Issued	Aug/2024
	Comments on achieving targets		Partially Achieved - IDRA issued Insurance Consumer Protection Guidelines (ICPG) with Key Fact Statement Templates in August 2024					
Mortality and Morbidity tables produced (Yes/No)	No	Dec/2017	Yes	Feb/2024	Yes	Feb/2024	Yes	Jan/2024
	Comments on achieving targets		Achieved - Prior to the project, Bangladesh did not have updated mortality and morbidity tables as they were using data from 1949 and 1952, which partly contributed to improper premium calculation and adversely affected even those companies that have good credentials. In January 2024, IDRA issued a circular to the country's life insurance companies to use the "Bangladesh Assured Lives Mortality Table (2015-2018)" and the "Bangladesh Morbidity Table (2015-2018)" for the purpose of formulation of insurance schemes, valuation and calculation of reserves, and other purposes related to insurance starting 01 January 2024. This reform was supported by BISDP.					
Number of people who receive ABIA Diplomas and Certificates (Number)	50.00	Dec/2017	450.00	Feb/2024	450.00	Feb/2024	453	Aug/2024
	Comments on achieving targets		Achieved - Despite delays caused by COVID-19 lockdowns, which affected the training and issuance of BIA diplomas (a key result indicator under the BISDP), the project concluded with 453 diploma holders. This number exceeds the project's end target of 450 as outlined in the results framework.					

Modernization, Strengthening and Increasing the Efficiency of the State-owned Insurance Corporations								
Indicator Name	Baseline		Closing Period (Original)		Closing Period (Current)		Actual Achieved at Completion	
	Result	Month/Year	Result	Month/Year	Result	Month/Year	Result	Month/Year
Life Insurance policies that lapse after one year at JBC (Percentage)	50.00	Dec/2017	43.00	Feb/2024	43.00	Feb/2024	35.56	Aug/2024
	Comments on achieving targets		Overachieved - While the target was set at 43 percent, the actual lapse rate at the project's closure was notably lower, at 35.56 percent. The percentage of life insurance policies that lapse after one year indicates the proportion of policyholders who discontinue their life insurance coverage within the first year of purchasing the policy. This metric is crucial as it reflects the retention rate of policyholders and provide insights into customer satisfaction, the effectiveness of the insurance company's onboarding process, and the overall stability of the insurance portfolio.					
Total number of policy holders at JBC and SBC (Number)	463,000.00	Dec/2017	600,000.00	Feb/2024	600,000.00	Feb/2024	2,064,729	Aug/2024
	Comments on achieving targets		Overachieved - The total number of policyholders at JBC & SBC reached 2,064,729, significantly surpassing the target of 600,000 set at project closure. This represents an impressive overachievement of the IRI by 244.12 percent.					
Net Claims ratio at JBC (Percentage)	66.00	Dec/2017	67.00	Feb/2024	67.00	Feb/2024	75.25	Aug/2024
	Comments on achieving targets		Overachieved - As a key performance indicator in the insurance industry, the net claims ratio is crucial for assessing an insurer's financial health and operational efficiency. A ratio within the range of 50 to 80 percent is generally considered moderate, signifying that the insurer is effectively managing its risk while continuing to deliver value to its policyholders.					
Net Claims ratio at SBC (Percentage)	35.00	Dec/2017	55.00	Feb/2024	55.00	Feb/2024	53.55	Aug/2024
	Comments on achieving targets		Target is partially achieved					
Premium growth rate at JBC (Percentage)	7.00	Dec/2017	17.00	Feb/2024	17.00	Feb/2024	11.51	Aug/2024
	Comments on achieving targets		Not Achieved - The shortfall may be attributed to several factors, including the impact of the COVID-19 pandemic, market saturation, heightened competition, and internal challenges.					
Premiums growth rate at SBC (Percentage)	7.00	Dec/2017	16.00	Feb/2024	16.00	Feb/2024	7.41	Aug/2024
	Comments on achieving targets		Not Achieved - The shortfall may be attributed to several factors, including the impact of the COVID-19 pandemic, market saturation, heightened competition, and internal challenges.					
Solvency margin rule issued by IDRA is implemented by JBC and SBC (Text)	No	Dec/2017	Implemented	Feb/2024	Implemented	Feb/2024	Yes	Oct/2023
	Comments on achieving targets		Achieved - These rules play a crucial role in ensuring that insurers remain financially sound and capable of meeting their obligations, thereby fostering a stable and trustworthy insurance market.					
Project Implementation, Management, and Monitoring								

Indicator Name	Baseline		Closing Period (Original)		Closing Period (Current)		Actual Achieved at Completion	
	Result	Month/Year	Result	Month/Year	Result	Month/Year	Result	Month/Year
Direct project beneficiaries (net increase in policy holders of JBC and SBC who pay a premium for an insurance policy) (Number)	0.00	Jul/2018	130,000.00	Aug/2024	130,000.00	Aug/2024	628,760	Aug/2024
	Comments on achieving targets		Overachieved - The net increase in policyholders of JBC and SBC who pay a premium for an insurance policy is 628,760 against a target of 130,000, representing an overachievement of this IRI by 383.66 percent. This indicates a substantial success in attracting new policyholders.					
Female beneficiaries (net increase yoy in female policy holders of JBC and SBC who pay a premium for an insurance policy) (Number)	0.00		30,000.00		30,000.00		34,373	
	Comments on achieving targets		Overachieved - The net increase in female policyholders of JBC and SBC who pay a premium for an insurance policy is 34,373 against a target of 30,000, representing an overachievement of this IRI by 14.58 percent.					
Direct project beneficiaries who feel that project investments reflected their needs (Percentage)	0.00	Dec/2017	80.00	Aug/2024	80.00	Aug/2024	80	Aug/2024
	Comments on achieving targets		Achieved					

B. KEY OUTPUTS

Project Development Objectives Indicators	
PDO Indicators	2. IDRA adopted new smart risk based regulatory approach, supervisory technique along with IT/MIS solutions (smart RBS) 3. Number of insurance policy holders (life and non-life) (Number, Custom)
Key Outputs (linked to the achievement of the PDO Outcome)	1. 2. 3. 4.

Project Implementation, Management, and Monitoring	
Intermediate Results Indicators	17. Direct project beneficiaries (net increase in policy holders of JBC and SBC who pay a premium for an insurance policy) 19. Direct project beneficiaries who feel that project investments reflected their needs
Key Outputs (linked to the achievement of the Component)	1. 2. 3. 4.
Modernization, Strengthening and Increasing the Efficiency of the State-owned Insurance Corporations	
Intermediate Results Indicators	10. Life Insurance policies that lapse after one year at JBC 11. Total number of policy holders at JBC and SBC 12. Net Claims ratio at JBC 13. Net Claims ratio at SBC 14. Premium growth rate at JBC 15. Premiums growth rate at SBC 16. Solvency margin rule issued by IDRA is implemented by JBC and SBC
Key Outputs (linked to the achievement of the Component)	1. 2. 3. 4.
Improving the Capacity of the Insurance Development and Regulatory Authority (IDRA) and the Bangladesh Insurance Academy (BIA)	
Intermediate Results Indicators	2. Insurance companies follow off-site monitoring templates issued by IDRA for smart risk based supervision. 3. On-site inspections of insurance companies performed annually by IDRA (Number, Custom) 4. Solvency margin rule for insurance companies issued by IDRA and implemented

	5. Corporate governance regulations issued by IDRA are followed by insurance companies 6. Insurance Companies follow Claims Management Methodology and regulation issued by IDRA 7. Insurance companies issue key facts statements to policy holders following new Consumer Protection regulations issued by IDRA 8. Mortality and Morbidity tables produced 9. Number of people who receive ABIA Diplomas and Certificates
Key Outputs (linked to the achievement of the Component)	1. 2. 3. 4.

ANNEX 2. BANK LENDING AND IMPLEMENTATION SUPPORT/SUPERVISION

A. TASK TEAM MEMBERS

Name	Role
Anzhela Prygozhyna	Team Leader
Wenye Dong	Team Leader
Md. Didarul Islam	Financial Management Specialist
Mulugeta Dinka	Procurement Specialist
Nishat Noman	Procurement Specialist
Iqbal Ahmed	Environmental Specialist
Sabah Moyeen	Social Specialist
Vidya Venugopal	Counsel
Shahnun Nima Tania	Procurement Team
Amir Munir	Procurement Team
Sadia Afrin	Procurement Team
Shourov Kumar Sharma	Procurement Team
Satish Kumar Shivakumar	Team Member
Mehar Akhter Khan	Team Member
Sydnella E. Kpundeh	Team Member
Srivathsan Sridharan	Team Member

B. STAFF TIME & COST

Stage of Project Cycle	Staff Time & Cost	
	No. of Staff Weeks	US$ (including travel and consultant costs)
Preparation		
FY16	42.699	284,457.65
FY17	21.375	133,414.22

FY18	0.450	2,934.72
Total	64.52	420,806.59
Supervision/ICR		
FY16	4.075	23,508.52
FY18	23.000	169,202.91
FY19	15.195	148,832.39
FY20	25.467	215,726.58
FY21	37.858	239,553.35
FY22	22.500	175,919.16
FY23	30.200	287,605.59
FY24	27.675	265,156.09
FY25	9.175	55,916.38
Total	195.15	1,581,420.97

ANNEX 3. PROJECT COST BY COMPONENT

Component	Amount at Approval (US$M)	Actual at Project Closing (US$M)
Improving the Capacity of the Insurance Development and Regulatory Authority (IDRA) and the Bangladesh Insurance Academy (BIA)	30.0	30.8
Modernization, Strengthening and Increasing the Efficiency of the State-owned Insurance Corporations	45.0	46.77
Project Implementation, Management, and Monitoring	5.0	2.46

ANNEX 4. EFFICIENCY ANALYSIS

1. **The project was expected to create a well-functioning insurance sector by upgrading the regulatory and supervisory framework, upgrading the accountability and governance framework and modernizing insurance infrastructure and increasing the coverage of insurance in Bangladesh.** Strengthening regulatory and supervisory capacity is essential for safeguarding the stability and development of the insurance sector, protecting policyholders, and promoting financial inclusion and resilience. Modernization of IT/MIS infrastructure for insurance regulators and insurance companies significantly enhance operational efficiency, reduce costs by streamlining processes, minimize expenses and help to foster a more inclusive and resilient insurance sector.

2. **The Insurance sector contributes to financial inclusion, financial stability and long-term finance and consequently to the broader financial sector development agenda.** Specifically, work in insurance increases access for those otherwise excluded, thereby increasing financial inclusion; supports appropriate risk management and risk transfer for firms and households, thereby maintaining financial stability, and mobilizes long-term finance to meet country's development needs as insurance companies (especially life insurance companies) as institutional investors, provides a rich source of long-term capital. Non-life insurance companies can provide liquidity as well as capital to the capital market.[20]

3. **At the appraisal stage, no monetary value was assigned to all benefits to calculate the project's Net Present Value (NPV) or Internal Rate of Return (IRR).** However, an effort has been made to calculate the NPV and IRR at the project's closure. For this purpose, the incremental gross premium of the insurance sector was used as a proxy to estimate the monetary benefits or cash flows. To calculate the incremental gross premium, the forecasted (or calibrated) gross premium for the project period was first determined based on the average annual growth rate of gross premiums observed prior to the project's commencement (2010 to 2016). The difference between the actual gross premium during 2019–2023 and the forecasted gross premium was considered the incremental gross premium. The summary of the incremental gross premium as follows:

Table 5. Summary of the Incremental Gross Premium (Million BDT)

	Total Gross Premium (2019-2023) [21]		
	Forecasted/Calibrated	**Actual**	**Surplus**
Shadharan Bima Corporation (SBC)	58,544.47	58,841.46	296.99
Jiban Bima Corporation (JBC)	29,461.88	33,751.48	4,289.60
Rest of the sector (life + non life)	658,017.28	680,323.56	22,306.28
Grand Total	746,023.63	772,916.50	26,892.87

4. **Component 2 of the project directly contributed to the modernization, strengthening, and efficiency improvements of SBC and JBC.** Therefore, the incremental gross premiums for SBC and JBC can be directly attributed to the project's impact. Component 1, on the other hand, focused on building the capacity of the regulatory authority, IDRA. While this component may not have a direct impact, it is likely to have an indirect influence on the incremental gross premiums for the entire insurance sector. To estimate this indirect impact, the incremental gross premium for the sector (excluding SBC and JBC) was scaled down by the proportion of IDA funding relative to the sector's total gross premium.

5. **Using the average 180-day SOFR from 2020 to 2024 as the discount factor, the NPV and IRR of the project were calculated as follows:**

[20] Can Interventions Spur Development of the Insurance Sector? World Bank Group

[21] The cash flow of 2024 has been excluded as the insurance sector data is still not available.

NPV	BDT (481.33) million
IRR/ERR	11%

6. **While it is challenging to precisely quantify the project's monetary impact, the NPV, though slightly negative at BDT -481.33 million (compared to the total project funding of approximately BDT 6,623.87 million), and the IRR of 11 percent suggest that the project has had a positive influence on Bangladesh's insurance sector.** Moreover, the project is expected to deliver sustained long-term benefits and continue to strengthen the sector in the years to come.
7. **The project demonstrated operational efficiency.** Even though the project experienced implementation delays mainly due to late project effectiveness and disruptions caused by Covid-19 pandemic, it was able to complete implementation of planned regulatory and supervisory reforms and many of the IT/MIS infrastructure investments and improve capacity of the four project beneficiaries. The project was able to achieve or exceed the two PDO targets.
8. **The project generated several unintended positive externalities, including the Maximizing Finance for Development (MFD) effect, which benefited the private insurance sector despite not being an explicit objective.** A key example is the project's interventions with the Bangladesh Insurance Academy, which provided knowledge and expertise to the entire insurance sector, including private participants. These efforts contributed to capacity building and professional development, enhancing the performance and competitiveness of the private insurance market in Bangladesh. By strengthening the Academy, the project facilitated the dissemination of best practices and advanced training, equipping both public and private sector participants with the skills needed to navigate the regulatory landscape and adopt innovative approaches. Consequently, the project's influence extended beyond its initial scope, fostering a more robust and dynamic insurance sector.
9. Considering the factors, described above, efficiency is rated as **Modest**.

ANNEX 5. BORROWER, CO-FINANCIER AND OTHER PARTNER/STAKEHOLDER COMMENTS

On March 2, 2025, the World Bank provided the Borrower with the ICR Report, requesting feedback and comments by March 17, 2025. However, as of March 19, 2025, the task team has not received any response.

ANNEX 6. SUPPORTING DOCUMENTS (IF ANY)